

# **Phase 15 -- Red Flag Scenarios**

Early Warning Indicators of Misconduct

50 red flag scenarios

## Scenario 1 of 50

### RED FLAG

**Red Flag:** A registered representative is generating extraordinarily high turnover rates and cost-to-equity ratios in retail customer accounts -- particularly a senior investor's account -- while simultaneously borrowing money from that same customer without firm knowledge or approval. The combination of quantitatively unsuitable excessive trading that enriches the broker at the customer's expense, coupled with an undisclosed personal financial relationship with the customer, signals potential churning and exploitation of a vulnerable client.

**Length:** short

**Source:** 04\_RegBI\_Compliance\_Guidance

### Fact Pattern

Marcus Pellini, a general securities representative registered through Ridgeline Capital Partners, LLC, has managed accounts for four retail customers since 2019, including Dorothy Whitfield, a 74-year-old retired schoolteacher with a moderate-risk investment profile and a \$185,000 portfolio. Between January 2021 and March 2023, Pellini executed over 340 trades in Whitfield's account, generating an annualized turnover rate of 9.8 and a cost-to-equity ratio of 28.4%, producing approximately \$51,600 in commissions for Pellini while Whitfield's account declined by \$37,200. Ridgeline's compliance surveillance system flagged Whitfield's account twice for excessive activity, but Pellini provided written justifications citing 'volatile market conditions requiring active management,' and no further action was taken.

In October 2022, Pellini also borrowed \$15,000 from Whitfield, executing a handwritten promissory note promising repayment within six months at 4% interest. The loan was never disclosed to Ridgeline's compliance department, and no firm pre-approval was obtained. Whitfield's daughter discovered the promissory note in April 2023 while helping organize her mother's financial documents and filed a complaint with both the firm and FINRA. As of June 2023, the loan remains unpaid and Pellini has since been terminated by Ridgeline, with his Form U5 noting the outstanding loan, the customer complaint, and \$22,400 owed to the firm for unsettled account deficiencies.

### Red Flag Indicators

- \* Annualized turnover rate of 9.8 and cost-to-equity ratio of 28.4%, far exceeding FINRA's presumptive thresholds for excessive trading (turnover rate of 6 and cost-to-equity ratio of 20%)
- \* Customer account declined by \$37,200 while the representative earned \$51,600 in commissions during the same period, indicating the broker's interests were placed ahead of the customer's
- \* Undisclosed \$15,000 personal loan from a senior customer to the representative with no firm pre-approval
- \* Representative provided boilerplate written justifications to dismiss compliance surveillance alerts without meaningful supervisory follow-up
- \* Customer is a senior investor (age 74) with a moderate risk profile inconsistent with high-frequency trading activity
- \* Form U5 termination disclosing customer arbitration, borrowing from a customer, and money owed to the firm
- \* Over 340 trades in a \$185,000 account over approximately 26 months, reflecting excessive in-and-out trading

### Regulatory Concern

Willful violation of Regulation Best Interest (Exchange Act Rule 15l-1), specifically the Care Obligation under Rule 15l-1(a)(2)(ii), which requires associated persons to act in the retail customer's best interest and exercise reasonable diligence, care, and skill in making recommendations, including having a reasonable basis to believe that the series of recommended transactions is not excessive. For conduct prior to June 30, 2020, FINRA Rule 2111 (Suitability) applies the quantitative unsuitability standard. Violation of FINRA Rule 3240 (Borrowing From or Lending to Customers) for

obtaining a personal loan from a customer without prior written firm approval. Violations of FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) as an independent ethical obligation. Potential violations of FINRA Rules 3110 and 3120 regarding the firm's supervisory obligations for failing to meaningfully act on surveillance alerts. Additionally, potential senior investor exploitation concerns under FINRA Rule 2165 and applicable state elder financial abuse statutes.

### **Recommended Action**

The compliance officer should immediately escalate the matter to senior management and the firm's legal department. The representative's trading authority should be suspended pending investigation. A full forensic review of all accounts serviced by the representative should be conducted, calculating turnover rates, cost-to-equity ratios, and in-and-out trading patterns across every customer account. The firm should file a Form U5 amendment with complete disclosure of the borrowing arrangement and excessive trading allegations. A Suspicious Activity Report (SAR) should be evaluated. The firm must report the matter to FINRA and cooperate fully with any resulting examination or enforcement inquiry. The firm should also conduct an independent review of its surveillance exception processes to determine why two prior flags did not result in corrective action, and implement enhanced supervisory procedures for senior investor accounts. Customer restitution should be calculated and offered, and the firm should evaluate whether its written supervisory procedures for detecting and escalating excessive trading and undisclosed outside business activities are adequate.

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## Scenario 2 of 50

### RED FLAG

**Red Flag:** An insurance agent systematically steers nearly all retirement rollover clients into a single high-commission, high-fee annuity product without disclosing conflicts, providing cost comparisons, or documenting any individualized suitability analysis -- a clear indicator that the adviser is prioritizing personal compensation over clients' best interests in violation of fiduciary duties.

**Length:** short

**Source:** 06\_DOL\_Fiduciary

### Fact Pattern

In November 2024, Gerald Hutchins, a registered insurance agent with Pinnacle Wealth Advisors, met with Margaret Dawson, a recently retired 63-year-old school teacher, to discuss rolling over her \$412,000 403(b) plan into an IRA. During the meeting, Hutchins recommended she move her entire balance into a fixed indexed annuity product issued by Meridian National Life Insurance Co., which carried a 10-year surrender period, a 7.5% surrender charge, and annual fees totaling 3.2%. Pinnacle Wealth Advisors received a first-year commission of \$33,000 (approximately 8% of the rollover amount) from Meridian National for placing the annuity. Hutchins did not disclose this commission structure to Dawson, nor did he provide any written acknowledgment of his fiduciary status, a description of his conflicts of interest, or documentation comparing lower-cost alternatives such as target-date funds or fixed-income ETFs available within her existing 403(b) plan, which charged total fees of only 0.45% annually. A subsequent compliance review of Hutchins's client files revealed that 87% of his rollover recommendations in 2024 directed clients into the same Meridian National annuity product, regardless of client age, risk tolerance, or income needs.

### Red Flag Indicators

- \* 87% concentration of rollover recommendations into a single proprietary annuity product regardless of client profiles
- \* First-year commission of approximately 8% (\$33,000) on a single rollover -- far exceeding industry norms for comparable products
- \* No written disclosure of fiduciary status, conflicts of interest, or commission structure provided to the client
- \* Total annuity fees of 3.2% annually compared to 0.45% in the client's existing plan, with no documented cost-benefit analysis
- \* 10-year surrender period with 7.5% surrender charge imposed on a 63-year-old retiree likely to need liquidity
- \* Absence of any documented consideration of lower-cost alternatives or comparison of staying in the existing 403(b) plan
- \* Uniform recommendations across all clients suggesting a product-pushing sales model rather than individualized fiduciary advice

### Regulatory Concern

Potential violations of ERISA §404(a)(1) (duty of prudence and loyalty) for failing to act in the retirement investor's best interest; ERISA §406(b) (prohibited transactions involving self-dealing and conflicts of interest) for receiving undisclosed excessive compensation that influences recommendations; failure to satisfy the conditions of PTE 2020-02 requiring written acknowledgment of fiduciary status, disclosure of material conflicts of interest, documentation that advice reflects the investor's best interest, and a requirement that compensation be reasonable; potential violation of the DOL's 2024 Retirement Security Rule provisions requiring investment advice fiduciaries to avoid misleading statements and to provide basic conflict-of-interest information; and potential IRC §4975 excise tax liability for engaging in prohibited

transactions involving IRAs without a valid exemption.

### **Recommended Action**

The compliance officer should immediately place a hold on any pending rollover transactions by Hutchins and initiate a targeted review of all his client files from 2024 to assess whether individualized suitability analyses and required PTE 2020-02 disclosures were completed. The firm should engage an independent fiduciary consultant to evaluate whether the annuity recommendations were prudent and in each client's best interest relative to available alternatives. A report should be filed with the DOL Employee Benefits Security Administration if the review confirms a pattern of non-disclosure and self-interested recommendations. Affected clients should be notified of the conflicts and potential remediation options, including rescission of annuity contracts where appropriate. The firm should also evaluate whether a voluntary correction under the DOL's Voluntary Fiduciary Correction Program is warranted and consult counsel regarding potential IRC §4975 excise tax exposure.

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## Scenario 3 of 50

### RED FLAG

**Red Flag:** A broker-dealer systematically incentivized mass IRA rollovers from low-cost employer-sponsored retirement plans into high-fee proprietary products, using boilerplate best-interest documentation without individualized analysis, while failing to disclose material conflicts of interest including compensation differentials, revenue-sharing, and principal transaction mark-ups -- all hallmarks of a fiduciary duty violation and prohibited transaction scheme under ERISA and the IRC.

**Length:** long

**Source:** 06\_DOL\_Fiduciary

### Fact Pattern

Pinnacle Wealth Advisors, LLC is a mid-sized broker-dealer and registered investment adviser based in Charlotte, North Carolina, with approximately 340 registered representatives serving roughly 28,000 retail clients, many of whom hold IRA rollover accounts. In March 2023, the firm's Chief Revenue Officer, Darren Whitfield, circulated an internal memorandum to all branch managers directing them to 'accelerate the transition of qualified retirement plan participants into firm-managed IRA accounts before year-end,' citing a target of \$1.2 billion in new IRA rollover assets. The memorandum specifically instructed advisors to focus on participants in 401(k) plans with low-cost index fund lineups administered by employers, noting that 'these participants represent our highest-value conversion opportunities.' The firm's standard IRA rollover accounts were invested predominantly in proprietary mutual funds managed by Pinnacle Capital Management, an affiliated asset manager, carrying average expense ratios of 1.45%, compared to the average 0.06% expense ratio in the employer-sponsored plans the participants were leaving.

Between April and December 2023, Pinnacle advisor Rachel Fontaine, operating out of the firm's Raleigh branch, personally facilitated 187 IRA rollovers totaling \$94.3 million from the 401(k) plan of Meridian Manufacturing, Inc., a local employer with a Vanguard-administered plan. Fontaine conducted 'retirement readiness workshops' at Meridian's facilities, during which she presented materials emphasizing the 'limited investment options' in the employer plan and the 'personalized portfolio management' available through Pinnacle IRAs. Internal emails later revealed that Fontaine's presentations failed to disclose the significant fee differential, the revenue-sharing arrangements between Pinnacle Wealth Advisors and Pinnacle Capital Management, or the fact that Fontaine received a 1.5% rollover bonus on all assets transferred -- totaling approximately \$1.41 million in personal compensation from these rollovers alone.

Pinnacle's compliance department, led by Chief Compliance Officer Sandra Meyers, had implemented a rollover review checklist in June 2022 that ostensibly required advisors to document why a rollover was in a client's best interest, including a comparison of fees, investment options, and services. However, an internal audit conducted in January 2024 by the firm's parent company, Trident Financial Group, revealed that 83% of the rollover recommendation forms completed by Pinnacle advisors contained identical boilerplate language copied from a template distributed by Whitfield's office. The forms uniformly stated that 'the client will benefit from broader investment options, personalized advice, and consolidated account management' without any individualized fee comparison or analysis of the participant's specific circumstances, existing plan features, or whether the participant would lose access to institutional share class pricing.

Further investigation by Trident's internal auditors uncovered that Pinnacle had been executing principal transactions in fixed-income securities through Pinnacle Capital Management's proprietary bond fund within approximately 2,400 IRA accounts, generating an additional \$3.8 million in mark-ups and spreads during 2023. These transactions were executed without providing the written disclosures or obtaining the acknowledgments required for principal transactions involving fiduciary advisors and IRA accounts. Sandra Meyers had flagged the absence of principal transaction

disclosures in a September 2023 memorandum to Whitfield, but Whitfield responded via email that 'the regulatory landscape is in flux' and that 'strict compliance with principal transaction requirements is premature given ongoing DOL rulemaking.' Meyers did not escalate the matter further.

Notably, Pinnacle's compensation structure created additional conflicts: advisors received 35% higher grid payouts on proprietary Pinnacle Capital Management products compared to third-party funds, and the firm's annual awards trip -- a five-day retreat to Cabo San Lucas -- was available only to advisors who placed at least 60% of new assets into proprietary products. For 2023, 14 of Pinnacle's top 20 producers by revenue qualified for the trip, and all 14 had rollover-to-proprietary-product ratios exceeding 85%. Terminated clients who subsequently sought independent advice reported that alternative low-cost IRA providers would have saved them between \$8,000 and \$22,000 annually in fees on comparable portfolios.

## Red Flag Indicators

- \* Firm-wide directive to aggressively target 401(k) participants in low-cost plans for IRA rollovers with specific asset targets
- \* Rollover recommendation forms containing identical boilerplate language across 83% of cases with no individualized fee comparisons
- \* Average expense ratio increase from 0.06% to 1.45% upon rollover with no documented justification for why higher costs serve client interests
- \* Advisor received \$1.41 million rollover bonus compensation creating undisclosed material conflict of interest
- \* Principal transactions executed in 2,400 IRA accounts without required written disclosures or client acknowledgments
- \* Compensation grid paying 35% higher on proprietary products versus third-party funds
- \* Incentive trip eligibility tied to 60% proprietary product placement threshold
- \* Chief Compliance Officer flagged disclosure failures but was overruled by revenue-side executive who cited regulatory uncertainty as justification for non-compliance
- \* Workshops at employer facilities failed to disclose fee differentials, revenue-sharing arrangements, or advisor compensation incentives
- \* Top producers uniformly showed proprietary product ratios exceeding 85%, indicating systematic steering rather than individualized advice

## Regulatory Concern

ERISA §404(a)(1) -- breach of fiduciary duty of loyalty and prudence by recommending rollovers that served advisor and firm financial interests over retirement investors' interests. ERISA §406(b) -- prohibited transactions involving self-dealing by a fiduciary. IRC §4975(c)(1)(D)-(F) -- prohibited transactions in IRA accounts involving fiduciary self-dealing and conflicts of interest. PTE 2020-02 -- failure to satisfy the Impartial Conduct Standards (best interest, reasonable compensation, and no misleading statements), failure to provide required disclosures of fiduciary status and material conflicts, and failure to conduct retrospective compliance reviews. DOL Retirement Security Rule (2024) -- expanded fiduciary definition covering rollover recommendations as fiduciary investment advice, triggering full fiduciary obligations. PTE 84-24 -- potential violations related to insurance and annuity transactions within the rollover accounts if applicable products were involved. Potential additional violations of Securities Exchange Act §10(b) and Rule 10b-5 if material omissions in investor communications constitute fraud.

## Recommended Action

Immediately escalate to the DOL Employee Benefits Security Administration and SEC Division of Examinations for coordinated investigation. Issue a Wells-type notification to the firm and responsible individuals. Engage forensic

accountants to calculate total excess fees and compensation generated from the rollover campaign across all branches. Subpoena internal communications regarding the rollover initiative, compensation structures, and the CCO's compliance memoranda. Conduct investor-by-investor analysis of all 2023 rollovers to determine individual harm and whether each rollover satisfied the best-interest standard. Evaluate whether the CCO's failure to escalate after being overruled constitutes a compliance program failure warranting supervisory liability. Consider disgorgement of rollover bonuses, proprietary product compensation differentials, and principal transaction mark-ups. Require the firm to provide corrective disclosures to all affected IRA holders and to offer fee rebates or account transfers to lower-cost alternatives. Assess individual liability for Whitfield for directing non-compliance and for Fontaine for material omissions in investor presentations. Recommend the firm retain an independent compliance consultant to overhaul rollover review procedures, compensation structures, and conflict-of-interest disclosure practices.

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## Scenario 4 of 50

### RED FLAG

**Red Flag:** A registered representative is concentrating high-commission, long-surrender-period variable annuity sales among elderly clients while the firm's Form CRS and transaction approval records lack meaningful conflict-of-interest disclosure and any documented best-interest analysis -- indicating potential violations of Reg BI's Disclosure, Care, and Conflict of Interest obligations, particularly as applied to vulnerable senior investors.

**Length:** short

**Source:** 07\_Practitioner\_Commentary

### Fact Pattern

Pinnacle Wealth Advisors, a dual-registered broker-dealer and investment adviser based in Scottsdale, Arizona, completed its transition to comply with Regulation Best Interest and Form CRS by the June 30, 2020 compliance date. However, during an internal compliance review in February 2021, it was discovered that senior registered representative Gerald Thornton had been systematically recommending high-commission variable annuities with 7-year surrender periods to 43 clients aged 68 and older, generating approximately \$1.87 million in commissions between August 2020 and January 2021. Thornton's Form CRS disclosures, distributed to these clients, used generic boilerplate language stating that the firm 'may have conflicts of interest' but failed to disclose that Thornton received a 6.5% upfront commission on these specific annuity products -- nearly triple the compensation he would have earned recommending comparable lower-cost products available on the firm's platform. Internal records further showed that Thornton's supervisory principal, Diana Rayford, approved all 43 transactions without documenting any basis for determining that the recommendations were in the clients' best interest, and the firm's compliance policies contained no written supervisory procedures specific to Reg BI's Care Obligation or enhanced review protocols for senior investors.

### Red Flag Indicators

- \* Disproportionate concentration of variable annuity sales to clients aged 68 and older with long surrender periods that may extend past clients' life expectancies
- \* Commission on recommended products (6.5%) is nearly triple the compensation available from comparable lower-cost alternatives on the same platform
- \* Form CRS uses only generic boilerplate conflict language without disclosing the specific material compensation differential
- \* Supervisory principal approved all 43 transactions with no documented best-interest rationale or Care Obligation analysis
- \* Firm lacks written supervisory procedures specifically addressing Reg BI compliance, including the Care Obligation and Conflict of Interest Obligation
- \* \$1.87 million in commissions generated in less than six months from a concentrated vulnerable population
- \* No evidence of consideration of reasonably available alternatives as required under Reg BI's Care Obligation

### Regulatory Concern

Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934) -- specifically the Disclosure Obligation (requiring full and fair disclosure of material conflicts), the Care Obligation (requiring reasonable diligence, care, and skill in making recommendations and consideration of reasonably available alternatives), and the Conflict of Interest Obligation (requiring policies and procedures to mitigate conflicts arising from financial incentives). Additionally, potential violations of FINRA Rules 3110 (Supervision) and 2330 (Members' Responsibilities Regarding Deferred

Variable Annuities), SEC guidance on Form CRS (Form ADV Part 3 / Form BD Relationship Summary) requiring specific rather than generic disclosure of conflicts, and NASAA model rules and SEC Risk Alerts regarding heightened obligations when serving senior investors.

### **Recommended Action**

The compliance officer should immediately escalate the matter to senior management and outside counsel. All 43 transactions should be placed under a hold for review, and an independent assessment of each recommendation against the Reg BI Care Obligation should be conducted, including analysis of reasonably available lower-cost alternatives. The firm should evaluate whether client remediation -- including potential rescission of unsuitable annuity contracts or disgorgement of excess commissions -- is warranted. Supervisory Principal Rayford's approval authority should be suspended pending investigation. The firm must implement enhanced written supervisory procedures specifically addressing Reg BI obligations, including mandatory documentation of best-interest analysis for each recommendation, heightened review thresholds for sales to senior investors, and compensation-conflict escalation protocols. The firm should also revise its Form CRS to include specific, quantified disclosure of compensation differentials across product types. Finally, the firm should evaluate whether a self-report to the SEC Division of Examinations and/or FINRA is appropriate, particularly given the 2021 examination priority focus on Reg BI compliance and protection of senior investors.

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## Scenario 5 of 50

### RED FLAG

**Red Flag:** A producer is systematically selling complex, high-cost indexed universal life insurance policies to elderly, fixed-income clients without conducting or documenting the individualized suitability and best interest analyses required by NY Reg 187, while simultaneously replacing long-held existing policies and using misleading sales representations -- all generating outsized personal commissions that appear to be the primary driver of the recommendations rather than client welfare.

**Length:** long

**Source:** 08\_State\_Fiduciary\_Rules

### Fact Pattern

In September 2019, producer David Hargrove, a licensed insurance agent with Empire Shield Financial Group based in Syracuse, New York, began aggressively marketing indexed universal life (IUL) insurance policies to elderly clients in the greater New York City metropolitan area. Between September 2019 and January 2020, Hargrove sold 47 IUL policies with an average annual premium of \$18,500 each, totaling approximately \$869,500 in first-year premium volume. His book of business during this period was concentrated among clients aged 68 to 84, many of whom were retired and living on fixed incomes from Social Security and modest pension benefits. Hargrove's compensation on these sales averaged 95% of first-year premium, generating approximately \$825,000 in personal commissions during this five-month window.

A review of Hargrove's client files revealed a troubling pattern. In 34 of the 47 transactions, the suitability questionnaires were either incomplete or contained entries that appeared inconsistent with the clients' actual financial circumstances. For example, 78-year-old retired postal worker Margaret Chen was documented as having a 'moderate-to-high' risk tolerance and a 20-year financial time horizon, despite her stated annual income of \$31,000 from Social Security and a small pension, liquid assets of approximately \$42,000 in a savings account, and no prior experience with cash-value life insurance or market-linked products. Her new IUL policy carried an annual premium of \$14,200 -- representing nearly 46% of her annual income -- and included a \$250,000 death benefit with variable fees tied to index performance. Hargrove's file contained no documentation of Mrs. Chen's liquidity needs, tax status, or existing liabilities, and no written rationale explaining why the IUL recommendation was in her best interest compared to a less expensive term life policy or why she needed life insurance at all given that she had no dependents.

Further investigation by Empire Shield's newly hired compliance officer, Rachel Okonkwo, uncovered that in at least 19 cases Hargrove had replaced existing whole life or term policies that clients had held for 10 to 30 years with the new IUL products. In many of these replacement transactions, the clients surrendered policies with accumulated cash values -- in one case, 81-year-old retired teacher Bernard Whitfield surrendered a whole life policy with \$67,000 in cash value that he had held since 1992, incurring a \$4,100 surrender charge, in order to fund the first two years of premium on a new IUL policy with a \$175,000 death benefit. Hargrove's documentation did not include any comparison of the costs, benefits, performance projections, or risks of the existing policy versus the replacement IUL, nor did it reflect any analysis of whether the replacement served Mr. Whitfield's best interest. Mr. Whitfield's file listed his annual income as \$28,000, his liquid net worth as \$23,000 (after the surrender), and his financial objective as 'wealth accumulation' -- a characterization that Mr. Whitfield later told compliance investigators he did not understand and did not recall discussing.

Okonkwo also discovered that Hargrove had been conducting sales presentations at senior community centers and assisted living facilities in Queens, Brooklyn, and Westchester County, often using marketing materials that emphasized guaranteed minimum death benefits while downplaying the variable cost-of-insurance charges, mortality and expense

fees, and the risk that policy performance could require significantly higher premium payments in later years. Several clients reported that Hargrove told them the IUL product was 'basically a savings account with a life insurance bonus' and that 'your money can only go up, never down.' None of these oral representations were documented in the client files. Additionally, Hargrove's client intake forms across all 47 sales used nearly identical boilerplate language for the financial objectives and intended use sections, suggesting the information was not individually tailored to each client's disclosed circumstances as required under Reg 187's suitability and best interest standards.

Empire Shield's internal records showed that Hargrove had previously been a top producer at a prior firm, Patriot Assurance Partners, which had been the subject of a 2017 DFS inquiry related to unsuitable annuity sales to seniors. Hargrove left Patriot Assurance in early 2019 before any individual enforcement action was taken. His U4 filing disclosed a single customer complaint from 2016 that was settled for \$12,000 but did not reference the DFS inquiry into his former firm. When Okonkwo raised concerns to Empire Shield's managing director, Thomas Briarly, in late January 2020, Briarly initially dismissed the concerns, noting that Hargrove's premium volume had single-handedly pushed the Syracuse office past its annual revenue target and that 'every client signed the disclosure forms.'

## Red Flag Indicators

- \* Concentration of complex IUL sales to elderly clients aged 68-84 on fixed incomes with limited liquid assets
- \* Annual premiums representing 30-46% of clients' annual income, far exceeding reasonable affordability thresholds
- \* Incomplete or missing suitability questionnaire fields for liquidity needs, tax status, financial experience, and risk tolerance
- \* Risk tolerance and financial time horizon entries inconsistent with clients' age, income, and stated objectives
- \* Boilerplate identical language across 47 different client files for financial objectives and intended use sections
- \* Systematic replacement of long-held whole life and term policies without documented cost-benefit comparison analysis
- \* No written best interest rationale comparing recommended IUL to simpler, less expensive alternatives such as term life
- \* Clients surrendering existing cash-value policies and incurring surrender charges to fund new IUL premiums
- \* Oral sales representations characterizing IUL as a savings account with no downside risk, contradicting product features
- \* Marketing materials emphasizing guaranteed minimums while downplaying variable charges and premium escalation risk
- \* Sales presentations conducted at senior centers and assisted living facilities targeting vulnerable populations
- \* Producer's 95% first-year commission rate creating a severe compensation-driven conflict of interest
- \* Producer's prior association with a firm subject to DFS inquiry for unsuitable annuity sales to seniors
- \* Management dismissal of compliance concerns citing revenue targets rather than addressing substantive violations
- \* Extraordinarily high production volume of 47 complex policies in five months suggesting churning activity

## Regulatory Concern

NY Insurance Regulation 187 (11 NYCRR 224) -- Suitability and Best Interest in Life Insurance and Annuity Transactions: Violation of the best interest standard requiring producers to act with the care, skill, prudence, and diligence of a prudent person (Section 224.4); failure to gather and document all required suitability information including financial experience, risk tolerance, liquidity needs, tax status, and liquid net worth for non-term products (Section 224.4(a)); failure to document the basis for each recommendation and why it is in the consumer's best interest regarding costs, performance, and risks (Section 224.4(b)); potential violation of NY Insurance Law Section 4226 (unfair trade practices) through misleading oral representations about product features; potential violations of NASAA Model Rule on dishonest or unethical business practices; insurer supervision failures under Reg 187's requirement that

insurers establish and maintain procedures to supervise recommendations. Additionally, the replacement transactions may violate NY Insurance Regulation 60 (11 NYCRR 51) regarding policy replacement disclosure and comparison requirements. The pattern may also constitute elder financial exploitation under NY Social Services Law and could implicate MA 950 CMR 12.207 fiduciary standards if any clients have Massachusetts connections.

### **Recommended Action**

The compliance officer should immediately escalate the findings to Empire Shield's Chief Compliance Officer and General Counsel, bypassing the managing director who dismissed initial concerns, and place a hold on all pending Hargrove policy applications. A comprehensive file-by-file review of all 47 transactions should be initiated with independent verification of client-reported financial information through direct client contact. The firm should engage outside counsel to conduct an internal investigation and prepare for potential self-reporting to the New York Department of Financial Services. All affected clients should be contacted to verify their understanding of the products purchased and to assess whether remediation -- including policy rescission and premium refunds -- is warranted. Hargrove's selling authority should be suspended pending investigation. The firm should file a U5 amendment if termination results, and consider whether a SAR filing is appropriate. A report should be prepared for potential submission to DFS under the insurer's supervisory obligations under Reg 187, including documentation of the systematic failures in suitability documentation, the pattern of unsuitable replacements, and the misleading sales practices. Empire Shield should also review its supervisory procedures and consider whether managing director Briarly's failure to act on compliance concerns constitutes a supervisory failure requiring disciplinary action and enhanced oversight protocols.

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## Scenario 6 of 50

### RED FLAG

**Red Flag:** A financial professional systematically recommended high-cost proprietary rollover products to nearly 200 retirement plan participants using identical boilerplate justifications, with no documented individualized analysis of whether leaving the low-cost employer plan was actually beneficial -- a hallmark of a recommendation driven by the advisor's compensation rather than the client's best interest, raising serious concerns about breaches of ERISA fiduciary duty and prohibited transaction rules.

**Length:** short

**Source:** 09\_Law\_Firm\_Memos

### Fact Pattern

In March 2023, Granite Peak Financial Services, a dual-registered broker-dealer and investment adviser, launched an aggressive rollover campaign targeting participants in the Midwest Regional Healthcare Workers 401(k) Plan, which held approximately \$340 million in low-cost index funds with average expense ratios of 0.04%. Granite Peak advisor Marcus Dwyer personally contacted 187 plan participants nearing retirement and recommended they roll over their 401(k) balances into individual retirement accounts managed by Granite Peak. Over a four-month period, Dwyer facilitated \$47.2 million in rollovers into proprietary variable annuity products carrying average expense ratios of 1.85% and surrender charges of 7% over seven years. Dwyer earned approximately \$1.4 million in commissions on these transactions. Internal compliance records show that Dwyer's rollover recommendation documentation consisted of a single boilerplate paragraph for every client, stating that the rollover was 'in the client's best interest due to greater investment flexibility,' with no individualized analysis comparing plan fees, investment options, or the specific financial circumstances of each participant. Several clients were as young as 52, had outstanding 401(k) plan loans, and lost access to employer matching contributions that were still vesting.

### Red Flag Indicators

- \* Systematic targeting of a single employer plan's participants with identical rollover recommendations
- \* Boilerplate 'best interest' documentation with no individualized comparison of plan fees versus IRA fees
- \* Rollover into high-cost proprietary variable annuities (1.85% expense ratio) from low-cost index funds (0.04% expense ratio)
- \* Significant surrender charges (7%) locking participants into products for seven years
- \* \$1.4 million in commissions generated from the rollover campaign in just four months
- \* Participants with outstanding 401(k) loans and unvested employer matching contributions were recommended to roll over
- \* No documented analysis of whether participants would lose valuable plan features such as institutional share class pricing, loan provisions, or creditor protections
- \* Advisor's compensation structure created a direct financial incentive to recommend rollovers over remaining in the plan

### Regulatory Concern

Potential violation of ERISA fiduciary duty under the reinstated 1975 Rule's five-part test if Dwyer's recommendations constitute 'Investment Advice' on a regular basis for compensation, triggering prohibited transaction rules under ERISA §406(b) and IRC §4975 for self-dealing. Failure to satisfy the Impartial Conduct Standards required under PTCE 2020-02 (the Final Exemption), which requires that investment advice fiduciaries provide advice in the retirement investor's best interest, charge only reasonable compensation, and make no materially misleading statements.

Potential violations of SEC Regulation Best Interest (Reg BI, 17 CFR §240.15l-1) for failing to exercise reasonable diligence in making rollover recommendations and for failing to address the conflict of interest created by the commission-based compensation. Potential FINRA Rule 2111 (Suitability) and FINRA Rule 2210 (Communications) violations. DOL FAB 2018-02 impartial conduct standards may also apply during transition periods.

### **Recommended Action**

The compliance officer should immediately suspend Dwyer's rollover solicitation activity and initiate an internal investigation reviewing all 187 rollover recommendations for individualized best-interest documentation. Engage outside ERISA counsel to evaluate whether the firm and Dwyer acted as ERISA fiduciaries under the five-part test and whether the conditions of PTCE 2020-02 were satisfied for each transaction. Conduct a fee comparison analysis for every rolled-over account to determine whether participants suffered economic harm. File a Suspicious Activity Report (SAR) if the investigation reveals intentional misconduct. Prepare to self-report to the DOL's Voluntary Fiduciary Correction Program and notify the SEC and FINRA of potential Reg BI violations. Implement enhanced supervisory procedures requiring detailed, individualized rollover analysis documentation before any future rollover recommendation is made, including mandatory comparison of plan costs, investment options, and features lost upon rollover.

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## Scenario 7 of 50

### RED FLAG

**Red Flag:** A registered representative recommended a high-risk, illiquid, non-traded REIT to elderly, conservative, fixed-income retirees while verbally misrepresenting the product as extremely conservative and guaranteeing returns--conduct that signals both suitability violations and potential fraud through material misrepresentation. The pattern of concentrated sales of the same product to similarly situated vulnerable clients further suggests the advisor was prioritizing personal commission income over client interests.

**Length:** short

**Source:** 12\_FINRA\_Arbitration\_Awards

### Fact Pattern

In March 2018, financial advisor Marcus Gentry of Ridgepoint Financial Services recommended that his clients, Thomas and Irena Barlow--a retired couple in their early 70s with a combined annual income of approximately \$48,000 and a moderate-risk investment profile--invest \$75,000 of their retirement savings into the Apex Pinnacle Non-Traded REIT II, a high-risk, illiquid, speculative real estate investment trust focused on distressed commercial properties. When the Barlows expressed hesitation, Gentry told them the investment was 'as safe as a CD' and 'practically guaranteed' to return 8% annually. He did not disclose the product's illiquidity, the 12% upfront commission load, or the significant risk of principal loss. By early 2020, the REIT had suspended distributions and marked down its share price by 40%, leaving the Barlows with an estimated loss of \$30,000 and no ability to liquidate. Internal records at Ridgepoint show that Gentry sold the same non-traded REIT to fourteen other retired clients in his book during the same period, generating over \$126,000 in commissions for himself.

### Red Flag Indicators

- \* Recommendation of a high-risk, illiquid non-traded REIT to elderly clients with conservative risk profiles and limited income
- \* Verbal guarantees of specific investment returns (8% annually) on a speculative product
- \* Characterization of a speculative, illiquid product as 'safe as a CD' or 'extremely conservative'
- \* Failure to disclose material product features including illiquidity, high commission load, and risk of principal loss
- \* Concentrated pattern of selling the same high-commission product to multiple similarly situated elderly/retired clients
- \* Disproportionately high upfront commission structure (12%) suggesting advisor financial incentive to recommend the product
- \* Client investment allocation of approximately 60%+ of retirement assets into a single illiquid alternative investment

### Regulatory Concern

Potential violations of FINRA Rule 2111 (Suitability) for recommending an investment inconsistent with the clients' risk tolerance, age, financial situation, and investment objectives; FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade) for making false and misleading statements about investment safety and guaranteeing returns; Section 17(a) of the Securities Act of 1933 and Section 10(b) of the Securities Exchange Act of 1934 / Rule 10b-5 for material misrepresentations and omissions in connection with the sale of securities; FINRA Rule 2020 (Use of Manipulative, Deceptive or Other Fraudulent Devices); breach of fiduciary duty and common law negligence; and potential Regulation Best Interest (Reg BI) violations if conduct occurred after June 30, 2020.

### Recommended Action

The compliance officer should immediately place a supervisory hold on the advisor's ability to sell non-traded REITs and other alternative investments; conduct a full review of all accounts where the advisor recommended the non-traded REIT product, with particular focus on elderly and conservative clients; interview affected clients to determine what oral representations were made regarding risk, safety, and guaranteed returns; review trade blotters, account opening documents, and suitability questionnaires for inconsistencies between stated client risk profiles and actual product recommendations; file a FINRA Rule 4530 regulatory event report if evidence of material misrepresentation is confirmed; consider placing the advisor on heightened supervision or suspension pending investigation; engage outside counsel to assess potential customer restitution obligations; and prepare a Wells submission response strategy in the event of FINRA enforcement referral.

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## Scenario 8 of 50

### RED FLAG

**Red Flag:** A FINRA member firm is using the Remote Inspections Pilot Program to avoid on-site inspections of a high-risk OSJ that has multiple disqualifying risk factors -- including a pattern of customer complaints involving vulnerable adults, an associated person on heightened supervision, and a concentration of complex variable annuity exchange activity -- while failing to conduct or document an individualized risk assessment as required by Rule 3110.18(b).

**Length:** short

**Source:** 13\_FINRA\_Rulebook

### Fact Pattern

Pinnacle Financial Group, a mid-sized FINRA member firm with 47 branch offices and 312 registered representatives, elected to participate in the Remote Inspections Pilot Program beginning July 1, 2024. The firm's chief compliance officer, Sandra Whitfield, approved remote-only inspections for all branch offices across the board, including the firm's Dallas OSJ managed by registered representative Derek Holt. In the 18 months prior, the Dallas OSJ had accumulated nine customer complaints totaling \$1.8 million in alleged damages -- including four complaints from elderly clients aged 72 to 86 alleging unsuitable variable annuity switches -- and Holt had been placed on heightened supervision in March 2024 following an internal investigation into unauthorized discretionary trading. Despite these facts, the firm's risk assessment documentation for the Dallas OSJ consisted of a single checkbox form identical to the one used for every other branch, with no individualized analysis, no mention of customer complaints, no reference to Holt's heightened supervision status, and no discussion of the vulnerable adult investors in the office's customer base.

Between July 2024 and February 2025, the Dallas OSJ processed \$4.2 million in variable annuity exchanges across 23 customer accounts, many involving surrender charges exceeding 6%. The firm conducted only one remote inspection during this period -- a 45-minute video call with Holt during which no customer files were independently reviewed, no trade blotters were examined, and no correspondence was sampled. No on-site inspection was scheduled or conducted at any point.

### Red Flag Indicators

- \* Nine customer complaints totaling \$1.8 million in 18 months at a single OSJ, including complaints from investors aged 72-86
- \* Associated person placed on heightened supervision for unauthorized discretionary trading yet office still approved for remote-only inspection
- \* Boilerplate, checkbox-only risk assessment with no individualized analysis of the specific office's risk factors
- \* No documentation of consideration of vulnerable adult investors, heightened supervision, complaint history, or product complexity
- \* \$4.2 million in variable annuity exchanges across 23 accounts in eight months with surrender charges exceeding 6%
- \* Remote inspection consisted of a single 45-minute video call with no independent review of customer files, trade blotters, or correspondence
- \* Firm applied identical remote inspection criteria to all 47 branches regardless of risk profile

### Regulatory Concern

FINRA Rule 3110.18(b)(1) requires a documented, individualized risk assessment before electing remote inspection,

considering factors in Rule 3110.12 and higher-risk activities/persons. Rule 3110.18(b)(2) specifically requires consideration of customer complaint volume and nature (A), product complexity (C), vulnerable adult investors (D), heightened supervision status (E), and compliance failures (F). FINRA Rule 3110(c)(1) requires meaningful inspections of OSJs. FINRA Rule 2330 governs suitability obligations for variable annuity transactions including exchanges. FINRA Rule 2111 (Suitability) requires reasonable basis, customer-specific, and quantitative suitability analysis. FINRA Rule 4512 requires accurate maintenance of customer account information. The firm's conduct may also violate FINRA Rule 3110.18(f) and (g) regarding ineligibility criteria for remote inspections of high-risk offices.

### **Recommended Action**

The compliance department should immediately suspend remote inspection eligibility for the Dallas OSJ and schedule an urgent on-site inspection with a team independent of Holt's supervision chain. All 23 variable annuity exchanges should be reviewed for suitability under Rules 2111 and 2330, with particular scrutiny of transactions involving elderly clients. The firm should file any required amended U4/U5 disclosures and evaluate whether SARs or customer notifications are warranted. The firm's entire remote inspection program should be audited to determine whether other high-risk offices were improperly approved for remote-only inspections using the same deficient boilerplate assessment. FINRA examination staff should be notified, and the firm should consider self-reporting supervisory failures under FINRA's sanctions guidelines to potentially mitigate penalties. The CCO's decision-making should be reviewed for potential individual liability under Rule 3110 supervisory obligations.

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## Scenario 9 of 50

### RED FLAG

**Red Flag:** A broker-dealer is systematically recommending high-commission IRA rollovers to retirement plan participants while characterizing the interactions as non-fiduciary 'education' to avoid the DOL's investment advice fiduciary definition and the Impartial Conduct Standards required under PTE 2020-02, despite the recommendations being individualized, compensation-driven, and presented as being in the participants' best interest.

**Length:** short

**Source:** 16\_Congressional\_Materials

### Fact Pattern

In March 2024, Pinnacle Wealth Solutions, a registered broker-dealer based in Phoenix, Arizona, began aggressively marketing fixed indexed annuity products to participants in employer-sponsored 401(k) plans through a rollover campaign. Pinnacle advisor Derek Hannon contacted over 340 plan participants at MidWest Manufacturing's \$85 million defined contribution plan, recommending they roll their holdings into individual retirement accounts at Pinnacle. Between March and September 2024, Hannon facilitated \$14.2 million in rollovers across 67 participants, placing nearly all of the assets into high-commission fixed indexed annuities issued by a single carrier, Sentinel Life Insurance Co., which paid Pinnacle a 7% upfront commission and an ongoing 25-basis-point trail. Hannon told participants the recommendations were 'personalized' and 'in their best interest,' but Pinnacle's compliance department classified Hannon's interactions as 'education' and 'order-taking' rather than fiduciary investment advice, and the firm did not comply with Prohibited Transaction Exemption 2020-02's Impartial Conduct Standards. Internal emails show Hannon received a \$50,000 bonus from Pinnacle's annuity sales contest for the quarter and that Sentinel Life had offered Pinnacle an additional \$200,000 marketing support payment tied to reaching \$15 million in annuity placements.

### Red Flag Indicators

- \* Systematic rollover campaign targeting an entire plan's participant base rather than responding to individual participant-initiated requests
- \* Nearly uniform placement of rollover assets into a single high-commission product from one carrier, suggesting sales-driven rather than needs-based advice
- \* Firm classification of clearly individualized recommendations as 'education' or 'order-taking' to evade fiduciary status under the proposed ERISA fiduciary definition
- \* Existence of sales contests and bonus payments directly tied to annuity volume, creating acute conflicts of interest
- \* Third-party marketing support payments from the annuity carrier contingent on sales volume thresholds
- \* Advisor verbally representing recommendations as 'personalized' and 'in your best interest' while firm documentation denies fiduciary status
- \* No documentation of comparative analysis of existing plan investment options versus the recommended IRA annuity products
- \* Disproportionate ratio of rollover recommendations (67 out of approximately 340 contacts) in a compressed six-month period

### Regulatory Concern

Potential violation of ERISA §3(21)(A)(ii) and the proposed 29 CFR §2510.3-21 expanded definition of investment advice fiduciary, which would treat individualized rollover recommendations made for compensation as fiduciary advice. Potential prohibited transactions under ERISA §406(b) and IRC §4975(c)(1)(E)-(F) for fiduciary self-dealing through

receipt of third-party payments and sales contest compensation without satisfying PTE 2020-02's Impartial Conduct Standards, including the duty of loyalty, prudence, and reasonable compensation requirements. Potential violations of Dodd-Frank Act §913 standards regarding harmonization of broker-dealer and investment adviser conduct standards. Possible Exchange Act §15(l) and Regulation Best Interest violations if rollover recommendations were not in the retail customer's best interest given the conflict-laden compensation structure.

### **Recommended Action**

The compliance officer should immediately halt the rollover campaign and initiate an internal investigation examining all 67 completed rollovers for suitability and best interest compliance. The firm should engage independent counsel to assess whether Hannon's interactions constituted fiduciary investment advice under both the current five-part test and the proposed expanded definition, and whether PTE 2020-02 conditions were met. All sales contest and third-party marketing payments should be frozen and disclosed. A Form U-5 amendment and potential SAR filing should be evaluated. The matter should be self-reported to the DOL Employee Benefits Security Administration and FINRA. Affected participants should be notified, and a remediation plan including potential rollback of unsuitable annuity placements and disgorgement of excess compensation should be developed.

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## Scenario 10 of 50

### RED FLAG

**Red Flag:** A bank trust department is placing high-risk, complex financial products into conservative fiduciary accounts without documented suitability analysis, in direct conflict with the stated investment objectives of the trust instruments, while simultaneously receiving undisclosed compensation from product issuers -- signaling a potential breach of fiduciary duty, self-dealing, and disregard for customer suitability obligations.

**Length:** short

**Source:** 18\_OCC\_Bank\_Trust\_Guidance

### Fact Pattern

In March 2023, Ridgemont National Bank's trust department, managed by Senior Trust Officer Gerald Hinton, began systematically recommending complex structured notes and leveraged inverse ETFs to approximately 140 elderly trust beneficiaries across its fiduciary accounts. Many of these beneficiaries were retirees aged 72-91 with trust instruments specifying conservative income-generation objectives. Over a six-month period ending September 2023, Ridgemont placed over \$38 million of these high-risk, illiquid products into accounts where the governing trust documents expressly called for preservation of capital and prudent income production. Internal records show that Hinton's team conducted no documented suitability reviews, risk tolerance assessments, or beneficiary interviews before executing these transactions. Concurrently, Ridgemont received \$615,000 in placement fees and revenue-sharing payments from the issuers of the structured notes, fees that were never disclosed to the trust beneficiaries or their legal representatives.

### Red Flag Indicators

- \* Systematic placement of complex, high-risk products (structured notes, leveraged inverse ETFs) into accounts with conservative investment mandates
- \* Complete absence of documented suitability reviews or risk tolerance assessments for 140 affected beneficiaries
- \* Trust beneficiary demographics (elderly retirees aged 72-91) fundamentally inconsistent with high-risk product allocations
- \* Undisclosed revenue-sharing payments and placement fees of \$615,000 received from product issuers creating a material conflict of interest
- \* Investment selections contradict the express terms of governing trust instruments requiring capital preservation
- \* Concentrated pattern across a large number of accounts over a short time period suggesting a top-down directive rather than individualized fiduciary analysis
- \* No communication or disclosure to beneficiaries or their legal representatives regarding product risks or compensation arrangements

### Regulatory Concern

Potential violations of 12 CFR Part 9 (OCC regulations governing fiduciary activities of national banks), specifically: 12 CFR 9.6(a) requiring investment of fiduciary assets in accordance with the governing instrument and applicable law; 12 CFR 9.9 requiring proper administration and review of fiduciary accounts; 12 CFR 9.12 addressing self-dealing and conflicts of interest in fiduciary transactions; OCC Comptroller's Handbook on Fiduciary Activities requirements for documented suitability determinations and adherence to prudent investor standards; Joint Forum principles on customer suitability requiring that product recommendations align with assessed customer risk profiles, financial circumstances, and investment objectives; potential violations of state prudent investor statutes and Uniform Prudent Investor Act provisions governing trust administration.

### **Recommended Action**

The compliance officer should immediately escalate to the bank's Chief Risk Officer and Board Trust Committee, initiate a freeze on further structured product placements in fiduciary accounts, and commission a full forensic review of all 140 affected accounts including investment suitability documentation, revenue-sharing arrangements, and alignment with governing trust instruments. An independent assessment by outside fiduciary counsel should be obtained. All undisclosed compensation arrangements with product issuers must be identified and reported. The bank should prepare to file a Suspicious Activity Report (SAR) if evidence of intentional misconduct is confirmed, notify the OCC of potential fiduciary violations, and consider beneficiary remediation including restitution for investment losses attributable to unsuitable placements. Hinton and his team should be placed on administrative leave pending investigation, and all affected beneficiaries and their legal representatives should be notified in consultation with legal counsel.

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## Scenario 11 of 50

### RED FLAG

**Red Flag:** A registered representative forged the signatures of named annuitants on annuity applications and amendment documents without their knowledge or consent, rationalizing the forgery as a minor administrative convenience. Signature inconsistencies detected during a routine compliance review are a classic indicator of document falsification, which undermines the integrity of customer records and consent processes regardless of whether the underlying transaction was otherwise suitable.

**Length:** short

**Source:** 21\_FINRA\_OHO\_Decisions

### Fact Pattern

In March 2023, registered representative Derek Holloway (CRD No. 5587231) of Pinnacle Financial Services LLC met several times with his 82-year-old client, Margaret Dalton, at her home to review her \$475,000 portfolio of variable annuity contracts. Mrs. Dalton's two adult children, Karen Dalton-Webb and Thomas Dalton, were named as annuitants and beneficiaries on separate policies. Holloway recommended exchanging the variable annuities into two new deferred fixed annuity contracts worth approximately \$230,000 each to equalize the inheritance for her children. When Mrs. Dalton agreed in November 2023, Holloway prepared the applications and amendment forms at her kitchen table. Because neither Karen nor Thomas was present, Holloway signed their names on the annuity applications and subsequent policy amendment forms himself, without obtaining their knowledge or written authorization. Holloway later told his branch manager that he believed the signatures were 'merely administrative' since Mrs. Dalton was the policy owner and the children had previously expressed general agreement with their mother's estate planning goals. A routine annuity replacement review by the firm's compliance department in January 2024 flagged signature inconsistencies when Karen Dalton-Webb's signature on the application did not match specimens on file from a prior account opening.

### Red Flag Indicators

- \* Signature on new annuity application does not match signature specimens on file for the same individual
- \* Named annuitants were not present at any meeting where documents were executed
- \* Representative admits to signing others' names but characterizes it as administrative or immaterial
- \* Elderly client with large annuity holdings being recommended exchanges involving family members as annuitants
- \* Multiple documents (applications and amendments) all bearing the same forged signatures, suggesting a pattern rather than an isolated incident
- \* Representative conducted all business at client's home with no independent witness or supervisory oversight

### Regulatory Concern

FINRA Rule 2010 (formerly Conduct Rule 2110) -- Standards of Commercial Honor and Principles of Just and Equitable Trade: Falsifying signatures on customer documents is a serious violation of ethical standards regardless of whether the underlying transaction harmed the customer. FINRA Rule 3110 -- Supervisory obligations of member firms to review and detect signature irregularities on annuity replacement and exchange documentation. Potential state insurance law violations for forged signatures on annuity contracts. FINRA Sanction Guidelines for forgery and falsification of records recommend suspensions and monetary sanctions even in the absence of customer harm.

### Recommended Action

The compliance officer should immediately (1) quarantine all documents bearing the suspect signatures and engage a

forensic document examiner if necessary; (2) contact the named annuitants directly to confirm whether they authorized the representative to sign on their behalf; (3) file a suspicious activity report and escalate to senior compliance and legal counsel; (4) place the representative on heightened supervision or administrative leave pending investigation; (5) review the representative's entire book of business for additional signature irregularities, particularly involving elderly clients and annuity exchanges; (6) report the findings to FINRA under Rule 4530 (reporting requirements) and to applicable state insurance regulators; and (7) assess whether the recommended annuity exchanges were suitable under FINRA Rule 2111 given the client's age, liquidity needs, and surrender charge exposure.

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## Scenario 12 of 50

### RED FLAG

**Red Flag:** A credit rating agency is marketing an unregulated 'Other CRA Product' that is functionally identical to a formal credit rating but deliberately structured to evade regulatory oversight, conflict-of-interest controls, and transparency requirements -- while downstream asset managers rely on these products as substitutes for regulated ratings in suitability determinations for retail investors.

**Length:** short

**Source:** 23\_International\_Comparative

### Fact Pattern

In March 2024, Pinnacle Credit Assessments Inc. (PCA), a mid-tier credit rating agency registered with the SEC and ESMA, began offering a product called 'Credit Confidence Scores' (CCS) to institutional clients. PCA marketed CCS as a 'non-rating analytical tool' that fell outside its regulated credit rating activities, allowing it to bypass the conflict-of-interest controls, methodological transparency requirements, and compliance oversight mandated under IOSCO's CRA Code of Conduct and applicable regulations. Between March and September 2024, PCA generated \$47 million in revenue from CCS subscriptions sold to 38 institutional asset managers. Internal emails from PCA's Chief Commercial Officer, Diane Whitford, to CCS subscribers described the scores as providing 'the same fundamental creditworthiness assessment as our formal ratings, but delivered faster and without the regulatory overhead.' Several asset managers, including Kestrel Capital Management and Broadmoor Fixed Income Partners, subsequently used CCS scores in lieu of formal credit ratings to justify \$2.3 billion in purchases of structured credit products, including CLO tranches and CMBS, in their client portfolios. Kestrel's compliance logs show that portfolio managers treated CCS scores as equivalent to investment-grade ratings when making suitability determinations for retail-facing funds governed by MiFID II Article 25 and FCA Consumer Duty obligations under PRIN 12.

### Red Flag Indicators

- \* CRA product marketed as 'non-rating' while internal communications describe it as providing the same creditworthiness assessment as formal ratings
- \* Significant revenue (\$47M in six months) generated from a product deliberately structured to avoid regulatory compliance costs
- \* Asset managers using unregulated credit scores as direct substitutes for formal credit ratings in investment decision-making and suitability assessments
- \* Absence of methodological transparency, public disclosure, or conflict-of-interest safeguards applied to the CCS product despite its rating-equivalent function
- \* Portfolio managers at downstream firms treating CCS scores as investment-grade equivalents for retail fund suitability without independent verification
- \* No separation between PCA's commercial advisory services and its analytical scoring function, creating undisclosed conflicts of interest

### Regulatory Concern

IOSCO CRA Code of Conduct Fundamentals (2015) and IOSCO Suitability Principles (2021) -- the CRA is circumventing regulatory frameworks by repackaging credit ratings as unregulated 'Other CRA Products,' directly implicating the concerns raised in IOSCO CR06/16 about products used by market participants as functional credit rating substitutes. EU CRA Regulation (EC) No 1060/2009 Art. 3(1) and Art. 6 -- issuing credit assessments without complying with registration, methodology disclosure, and conflict-of-interest requirements. MiFID II Article 25 and

Delegated Regulation 2017/565 Art. 54-56 -- downstream firms relying on unregulated, non-transparent credit assessments to make suitability determinations for retail clients. FCA Consumer Duty PRIN 2A/12 -- failure to act in good faith and deliver good outcomes for retail customers when investment decisions rest on unvetted credit assessments. ASIC Corporations Act §961B -- best interest duty potentially breached where advisers rely on unregulated credit products rather than proper due diligence. SEC Rule 17g-5 and Regulation NMS -- potential circumvention of NRSRO oversight requirements.

### **Recommended Action**

Compliance officers at both the CRA and downstream asset managers should immediately escalate the matter. At the CRA level: (1) halt distribution of CCS pending a formal legal determination of whether the product meets the regulatory definition of a credit rating under applicable jurisdictions; (2) engage external counsel to assess whether CCS constitutes an unregistered rating activity; (3) preserve all internal communications, marketing materials, and client correspondence related to CCS. At the asset manager level: (1) suspend reliance on CCS scores for any new investment decisions; (2) conduct a retrospective review of all positions acquired using CCS scores in place of formal ratings, particularly in retail-facing funds; (3) assess whether suitability obligations under MiFID II Art. 25, FCA PRIN 12, and ASIC §961B were met for affected client portfolios; (4) file suspicious activity reports with relevant regulators (SEC, ESMA, FCA, ASIC) if the functional equivalence between CCS and formal ratings is confirmed; (5) notify affected retail investors if suitability assessments are found to have been compromised.

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## Scenario 13 of 50

### RED FLAG

**Red Flag:** A systematic firm-wide directive to increase allocations to high-margin structured products without regard to individual client suitability assessments, combined with undisclosed inducement payments from product issuers, resulting in portfolio compositions grossly inconsistent with documented client risk profiles -- particularly affecting vulnerable retail clients such as elderly retirees with conservative investment objectives.

**Length:** long

**Source:** 23\_International\_Comparative

### Fact Pattern

In early 2021, Meridian Wealth Advisors S.A., a Luxembourg-domiciled investment firm regulated under MiFID II, onboarded a new client, Mrs. Elaine Fournier, a 72-year-old retired schoolteacher from Liege, Belgium. Mrs. Fournier had recently inherited approximately ?1.8 million from her late husband's estate and sought conservative wealth preservation with modest income generation. During the onboarding process, her relationship manager, Julien Deschamps, conducted a suitability assessment that classified her as a conservative investor with low risk tolerance, limited investment knowledge, and a stated investment horizon of 5-7 years. Her completed client profile explicitly noted that she had no prior experience with derivatives, structured products, or alternative investments, and that her primary objective was capital preservation to fund her retirement and potential long-term care needs.

Despite this documented profile, between March 2021 and September 2022, Deschamps executed a series of portfolio allocation decisions under a discretionary management mandate that progressively shifted Mrs. Fournier's portfolio toward high-risk, illiquid instruments. By October 2022, approximately ?1.1 million (61% of her portfolio) was invested in complex structured notes linked to emerging market indices, ?280,000 was allocated to a single private equity feeder fund with a 7-year lock-up period, and ?150,000 was placed in leveraged exchange-traded products tied to commodity futures. Only ?270,000 remained in investment-grade bonds and money market instruments consistent with her stated risk profile. The structured notes carried embedded derivatives and featured capital-at-risk payoff structures that could result in total loss of principal under adverse market scenarios.

Internal records obtained during a subsequent compliance review revealed that Meridian's investment committee had issued a house view in January 2022 recommending increased allocation to structured products and alternative investments to boost the firm's fee income, which had declined 18% year-over-year. An internal memorandum from the Head of Product Distribution, Marc Verhagen, explicitly stated that 'wealth management clients with AUM above ?1 million should be migrated toward higher-margin structured product allocations where possible, targeting a minimum 40% allocation by Q3 2022.' This memorandum was circulated to all relationship managers, including Deschamps. Critically, the memorandum made no reference to individual client suitability assessments or risk tolerance constraints, nor did it instruct advisers to reassess client profiles before implementing the recommended allocation shifts.

Furthermore, the compliance review uncovered that Meridian had a material conflict of interest that was never disclosed to Mrs. Fournier or other affected clients. The firm received placement commissions averaging 2.8% from the issuers of the structured notes, in addition to ongoing distribution fees of 0.75% annually -- both significantly above the 0.15% custody fee and 0.50% management fee disclosed in the client agreement. These inducement payments were recorded internally but were not itemized in any client-facing cost disclosure or ex-ante cost transparency report, as required under MiFID II. When Mrs. Fournier's portfolio suffered a mark-to-market loss of approximately ?340,000 during the global bond and equity market downturn of 2022, she contacted the firm to understand why her 'conservative' portfolio had lost nearly 19% of its value. Deschamps assured her that losses were temporary and consistent with normal

market conditions, without acknowledging the portfolio's deviation from her agreed risk profile.

A complaint was eventually filed by Mrs. Fournier's nephew, a financial analyst, who reviewed her portfolio statements in January 2023 and immediately recognized the gross mismatch between her documented risk profile and actual holdings. The nephew's formal complaint to Meridian's internal complaints handling unit was acknowledged but not substantively addressed within the 30-day timeframe prescribed by the firm's own complaints handling policy. As of March 2023, the firm had not escalated the matter to the CSSF, had not conducted a root-cause analysis, and had not reviewed whether other conservative-profile clients had been similarly affected by the Verhagen memorandum. An internal audit sample of 15 comparable client accounts revealed that 11 showed allocation patterns inconsistent with their documented suitability profiles, all following the same pattern of increased structured product concentration after the January 2022 directive.

## Red Flag Indicators

- \* Portfolio allocations (61% in complex structured notes, private equity, and leveraged ETPs) drastically inconsistent with the client's documented conservative risk profile and low risk tolerance
- \* Internal firm memorandum directing relationship managers to target minimum 40% structured product allocation based on fee income objectives rather than client suitability
- \* Undisclosed placement commissions (2.8%) and ongoing distribution fees (0.75%) from structured note issuers not reflected in ex-ante cost disclosure reports
- \* Client complaint not addressed within the firm's own 30-day complaint handling timeline and not escalated to the CSSF
- \* Systematic pattern across multiple accounts: 11 out of 15 sampled conservative-profile clients showed the same suitability-inconsistent allocation shift
- \* No documented re-assessment of client suitability profiles prior to implementing the new allocation strategy
- \* Relationship manager provided misleading reassurance about portfolio losses without acknowledging deviation from the agreed investment mandate
- \* Investment committee house view driven by fee income recovery targets rather than market outlook or client best interest considerations
- \* Elderly retail client with no derivatives experience exposed to capital-at-risk structured notes with embedded derivatives
- \* 7-year lock-up private equity allocation made for a 72-year-old client with a 5-7 year investment horizon and potential near-term liquidity needs for long-term care

## Regulatory Concern

MiFID II Article 25 (Suitability and Appropriateness): Failure to ensure investment advice and portfolio management decisions are suitable for the client based on knowledge, experience, financial situation, and investment objectives. MiFID II Article 24(1) and (9) (Conduct of Business - Best Interest and Cost Disclosure): Failure to act honestly, fairly, and professionally in the client's best interest, and failure to provide adequate ex-ante disclosure of all costs and charges including inducements. MiFID II Article 24(7)-(8) (Inducements): Receipt of undisclosed third-party inducements (placement commissions and distribution fees) that do not enhance the quality of service and were not transparently communicated to the client. MiFID II Delegated Regulation (EU) 2017/565 Articles 54-56 (Suitability Assessment Requirements): Failure to obtain and act upon adequate information about the client's investment objectives, risk tolerance, and financial capacity. CSSF Regulation 16-07 transposing MiFID II into Luxembourg national law. FCA Consumer Duty PRIN 12 (cross-reference for group-wide conduct standards): Failure to deliver good outcomes for retail customers, particularly regarding price and value, consumer understanding, and consumer support. IOSCO Suitability Principles 2021: Violation of principles requiring firms to have adequate policies ensuring recommendations and discretionary management decisions are suitable, and that conflicts of interest are managed and

disclosed.

### **Recommended Action**

The compliance officer should immediately escalate this matter to the CSSF as a potential material breach of MiFID II suitability and conduct obligations. A firm-wide review of all discretionary management client accounts affected by the January 2022 Verhagen memorandum should be initiated, with priority given to elderly and vulnerable clients. All affected client portfolios should be frozen pending suitability reassessment, and remediation plans -- including potential restitution for realized and unrealized losses attributable to unsuitable allocations -- should be developed. The undisclosed inducement payments must be reported to the regulator and retroactively disclosed to all affected clients with corrected cost transparency reports. The internal complaints handling process should be reviewed for compliance with the firm's own policies and CSSF Regulation 16-07 requirements, and Mrs. Fournier's complaint must be substantively resolved immediately. Disciplinary proceedings should be considered against Julien Deschamps and Marc Verhagen, and the investment committee's governance framework should be overhauled to ensure that product allocation directives cannot override individual suitability requirements. The firm should engage external counsel to assess potential liability exposure under Luxembourg civil law and consider proactive engagement with the CSSF to negotiate supervisory measures. Finally, a root-cause analysis should determine whether the firm's remuneration structures incentivized the misconduct, with corrective changes implemented to align adviser compensation with client outcome metrics rather than product margin targets.

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## Scenario 14 of 50

### RED FLAG

**Red Flag:** The broker recommended an irreversible life settlement transaction without exploring less drastic alternatives that could preserve the client's estate planning objectives.

**Source:** 21\_FINRA\_OHO\_Decisions

### Fact Pattern

Margaret Thornton, age 78, has been a client of Meridian Financial Advisors and her broker, James Carlisle, since 2002. In March 2024, Mrs. Thornton holds a \$2 million universal life insurance policy that she purchased in 2008 to provide for her three adult children upon her death. Her investment profile indicates she is conservative, with modest liquid assets of approximately \$180,000 and Social Security income of \$2,400 monthly. During a meeting, Carlisle learned that Mrs. Thornton was struggling to pay the \$18,000 annual premium and suggested she consider a life settlement transaction, selling her policy to a third-party investor for approximately \$340,000. Carlisle explained this would eliminate her premium burden and provide immediate cash. However, Carlisle failed to discuss alternative options such as reducing the death benefit, taking a policy loan, or converting to a paid-up policy with a lower death benefit. Carlisle also did not explain that the purchaser would profit substantially more upon her death, or that her children would receive nothing from the policy. Mrs. Thornton's daughter later discovered that Carlisle would receive a \$27,000 commission from the life settlement company, representing 8% of the settlement amount.

### Red Flag Indicators

- \* Failure to present alternative options such as policy loans or reduced coverage
- \* High commission incentive for the broker on the recommended transaction
- \* Recommendation conflicts with client's stated estate planning goal of providing for children
- \* Client's conservative profile and limited assets suggest she may not fully understand transaction implications

### Regulatory Concern

This recommendation raises concerns under FINRA Rule 2330 regarding suitability of insurance-related transactions and FINRA Rule 2111 requiring that the broker have a reasonable basis to believe the recommendation is suitable given the customer's investment profile. The broker's failure to explore alternatives and the significant commission suggest the recommendation may not have been in the customer's best interest, potentially violating FINRA Rule 2010's requirement to observe high standards of commercial honor.

### Recommended Action

The compliance officer should review all life settlement recommendations made by this broker, require documentation of alternatives considered before any life settlement recommendation, implement supervisory review procedures for insurance liquidation transactions under FINRA Rule 3110, and consider whether the client should be contacted to ensure she understood all available options before the transaction proceeds.

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## Scenario 15 of 50

### RED FLAG

**Red Flag:** The clearing broker executed a forced liquidation of a derivatives account without providing reasonable notice or exploring less destructive alternatives despite the customer's demonstrated ability to meet margin requirements.

**Source:** 12\_FINRA\_Arbitration\_Awards

### Fact Pattern

Carson Peak Investments, LLC managed a derivatives trading account for Ridgeline Partners, L.P., a Colorado-based investment partnership with a stated objective of generating returns through strategic options and futures positions. The account, valued at approximately \$12.5 million as of December 2024, held complex derivative positions including multi-leg options strategies and futures contracts tied to energy commodities. The partnership's investment policy statement explicitly noted a long-term horizon of 5-7 years and tolerance for short-term volatility given the nature of derivatives trading.

In January 2025, during a period of elevated market volatility, Carson Peak's clearing broker, Pinnacle Clearing Services, Inc., initiated a rapid liquidation of Ridgeline's entire derivatives portfolio over a 48-hour period. The liquidation was executed without providing adequate notice or opportunity for Ridgeline to post additional margin or restructure positions. The forced liquidation resulted in realized losses of approximately \$10 million, as positions were closed at unfavorable prices during the volatile market conditions.

Ridgeline's account documentation showed the partnership had maintained margin requirements consistently over the prior 18 months and had liquid assets available to meet any margin calls. The partnership's principals contend that the liquidation strategy employed was unnecessarily aggressive and failed to consider less destructive alternatives such as partial position reductions or extended timeframes for meeting margin requirements.

### Red Flag Indicators

- \* Rapid 48-hour liquidation of entire portfolio during volatile market conditions
- \* No opportunity provided for customer to post additional margin
- \* Customer had liquid assets available and history of meeting margin requirements
- \* Failure to consider partial liquidation or extended timeframes as alternatives

### Regulatory Concern

This raises concerns under FINRA Rule 2111 (Suitability) regarding whether the liquidation strategy employed was suitable given the customer's investment profile and circumstances, and FINRA Rule 2010 (Standards of Commercial Honor) requiring fair dealing with customers. When a broker-dealer exercises discretion in liquidating customer positions, it must do so in a manner that is reasonable and considers the customer's interests, not merely the firm's risk exposure.

### Recommended Action

Compliance should review the firm's margin call and liquidation procedures to ensure they provide customers with reasonable notice and opportunity to meet margin requirements before forced liquidation. The firm should document all alternatives considered before initiating liquidation, establish tiered escalation procedures for margin deficiencies, and conduct post-liquidation reviews to assess whether actions taken were proportionate and in accordance with fair

dealing obligations.

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## Scenario 16 of 50

### RED FLAG

**Red Flag:** The plan service provider failed to prudently allocate settlement proceeds based on actual participant losses, instead using an arbitrary equal-distribution method that harmed those participants who suffered the actual investment losses.

**Source:** 06\_DOL\_Fiduciary

### Fact Pattern

In March 2024, Brightstone Retirement Services LLC served as the recordkeeper for the Midwest Manufacturing 401(k) Plan, which held \$8.2 million in mutual fund investments. The plan was entitled to receive approximately \$47,000 in settlement proceeds from a market-timing enforcement action involving the Steadfast Growth Fund. When the independent distribution consultant offered Brightstone the option to either receive a lump sum for distribution to plan participants or have the IDC distribute directly to beneficial shareholders, Brightstone's operations manager elected to receive the lump sum. However, rather than promptly allocating the \$47,000 among the 340 plan participants based on their proportional fund holdings during the affected period, Brightstone held the funds in its general operating account for four months. When Brightstone finally made distributions, it allocated the proceeds equally among all current participants (\$138 each) regardless of whether they held the affected fund during the relevant period or their actual ownership percentage. Several long-tenured employees who had significant Steadfast Growth Fund holdings during the market-timing period received far less than their proportionate share, while newer employees who joined after the violation period received windfall payments.

### Red Flag Indicators

- \* Settlement proceeds held in service provider's general operating account rather than segregated plan assets
- \* Four-month delay between receipt of funds and distribution to participants
- \* Equal per-capita allocation ignoring actual fund ownership during affected period
- \* Participants who held no shares during violation period received distributions while injured participants were shortchanged

### Regulatory Concern

Under ERISA Section 404, once settlement proceeds become plan assets, fiduciaries must act prudently and solely in the interest of participants and beneficiaries. The service provider's allocation methodology violated the duty of prudence by failing to distribute proceeds to those participants who actually suffered losses from the market-timing conduct. Additionally, commingling plan settlement proceeds with the service provider's operating funds raises questions about when fiduciary status attached and whether the provider exercised impermissible discretion over plan assets under ERISA Section 3(21).

### Recommended Action

The plan sponsor fiduciary should immediately demand an accounting of the settlement proceeds, require Brightstone to recalculate distributions based on actual participant holdings during the affected period, recover any amounts improperly distributed to non-affected participants, and evaluate whether Brightstone breached its service agreement or assumed fiduciary responsibilities requiring ERISA fiduciary liability coverage. The plan should also consider whether to continue using Brightstone as recordkeeper given this failure.

## Scenario 17 of 50

### RED FLAG

**Red Flag:** Financial adviser recommended maintaining and increasing a single-stock concentration exceeding 90% of portfolio for an elderly customer with documented cognitive decline, while liquidating her only diversified holding.

**Source:** 12\_FINRA\_Arbitration\_Awards

### Fact Pattern

Genell Robertson, an 82-year-old widow living in Macon, Georgia, had accumulated approximately \$4.8 million in AFLAC Inc. stock over several decades through her late husband's employment with the company. In January 2021, her financial adviser Stephen Morris at Clearview Financial Services recommended she maintain her concentrated position in AFLAC rather than diversifying into a balanced portfolio appropriate for her age and retirement income needs. Despite Mrs. Robertson's declining cognitive abilities, which her son Tony had documented in medical records and communicated to the adviser, Morris continued to recommend holding the single-stock position representing over 90% of her investable assets. When Tony obtained power of attorney in March 2022, he discovered that Morris had actually sold Mrs. Robertson's shares in the Invesco American Franchise Fund--her only diversified holding--to purchase additional AFLAC shares, further concentrating the portfolio. Mrs. Robertson passed away in June 2023, and her estate subsequently filed claims alleging the adviser failed to recommend suitable diversification for an elderly customer with documented cognitive decline.

### Red Flag Indicators

- \* Over 90% portfolio concentration in single equity position for retirement-age client
- \* Customer had documented cognitive decline communicated to the adviser
- \* Liquidation of diversified fund holdings to purchase additional shares of concentrated position
- \* Failure to implement age-appropriate asset allocation for 82-year-old widow dependent on portfolio for income

### Regulatory Concern

This recommendation raises serious concerns under FINRA Rule 2111 (Suitability), which requires that a recommended investment strategy be suitable based on the customer's investment profile, including age, investment time horizon, risk tolerance, and liquidity needs. The concentration in a single stock was unsuitable for an elderly widow with limited time horizon and income needs. Additionally, FINRA Rule 2165 provides a framework for addressing financial exploitation of seniors with diminished capacity, and FINRA Rule 2090 (Know Your Customer) required the firm to know the essential facts about the customer, including her cognitive status.

### Recommended Action

The compliance officer should implement enhanced supervision protocols for accounts of customers over 65, establish mandatory concentration limits triggering supervisory review, require documented suitability analysis when customers exhibit signs of cognitive decline, and ensure that trusted contact persons are contacted when there are concerns about a senior customer's capacity to make investment decisions.

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## Scenario 18 of 50

### RED FLAG

**Red Flag:** The broker recommended a heavily concentrated position in speculative securities to a conservative, retired client whose documented objectives explicitly stated income and capital preservation.

**Source:** 12\_FINRA\_Arbitration\_Awards

### Fact Pattern

In March 2022, registered representative David Thornton at Meridian Securities Group recommended that his client, Margaret Walsh, a 67-year-old retired schoolteacher, invest \$285,000 of her \$340,000 retirement savings into a concentrated position of three small-cap speculative technology stocks. Mrs. Walsh had documented her investment objective as 'income and preservation of capital' on her new account form, with a risk tolerance marked as 'conservative' and an investment time horizon of 5-7 years to fund her retirement living expenses. Despite these stated objectives, Thornton convinced Mrs. Walsh that these speculative positions would generate substantial returns to 'catch up' on retirement savings she felt were inadequate. By November 2022, the concentrated portfolio had declined by approximately 62%, leaving Mrs. Walsh with significant losses totaling over \$176,000. When Mrs. Walsh filed a complaint with the firm, Thornton claimed she had verbally expressed interest in aggressive growth, though no documentation supported this assertion and her signed account documents consistently reflected conservative objectives.

### Red Flag Indicators

- \* Investment recommendation directly contradicted documented client risk tolerance and objectives
- \* Concentration of 84% of retirement assets in three speculative small-cap stocks
- \* Client age and retirement status inconsistent with aggressive growth strategy
- \* Broker relied on alleged verbal statements that contradicted written customer profile

### Regulatory Concern

This recommendation raises serious concerns under FINRA Rule 2111 (Suitability), specifically the customer-specific suitability obligation requiring that a recommendation be suitable for the particular customer based on their investment profile, including age, financial situation, risk tolerance, and investment objectives. The broker's recommendation of speculative, concentrated positions to a conservative retiree seeking income and capital preservation represents a fundamental mismatch that fails to meet reasonable-basis, customer-specific, and quantitative suitability requirements.

### Recommended Action

The compliance officer should immediately review all of Thornton's client accounts for similar patterns of unsuitable recommendations, interview the broker regarding his rationale for the recommendation, document the discrepancy between the client's profile and the actual investments, and consider whether enhanced supervision or disciplinary action is warranted. The firm should also assess whether customer restitution is appropriate and ensure that any verbal modifications to customer profiles are properly documented and approved going forward.

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## Scenario 19 of 50

### RED FLAG

**Red Flag:** An associated person solicited loans from colleagues without apparent means to repay, suggesting potential financial distress that could compromise his judgment in client recommendations.

**Source:** 12\_FINRA\_Arbitration\_Awards

### Fact Pattern

In April 2022, Domenick Carofine, a registered representative associated with Prestige Financial Services, LLC, approached his colleagues John Bucsek and Bellaria Jimenez requesting a personal loan of \$30,000. Carofine represented that he needed the funds for a short-term cash flow issue and would repay the loan within 12 months at 8% interest. Bucsek and Jimenez, also registered representatives at the same firm, agreed to extend the loan through their jointly-owned entity, JBJ Financial LLC, and executed a promissory note dated April 25, 2022. Carofine subsequently failed to make scheduled payments, and by early 2024, the outstanding principal plus accrued interest totaled approximately \$33,409. Despite multiple demands for payment, Carofine refused to honor his obligations under the promissory note. The lenders were forced to initiate arbitration proceedings to recover the debt, ultimately obtaining an award of \$33,505 in compensatory damages plus \$17,413 in attorneys' fees.

### Red Flag Indicators

- \* Registered representative borrowing money from colleagues at the same firm
- \* Failure to make scheduled payments on personal debt obligations
- \* Pattern of financial distress suggesting possible outside business activities or undisclosed liabilities
- \* Refusal to honor contractual commitments despite clear documentation

### Regulatory Concern

Under FINRA Rule 2010, associated persons must observe high standards of commercial honor and just and equitable principles of trade. A representative experiencing significant personal financial distress may be motivated to make unsuitable recommendations to clients to generate higher commissions, potentially violating FINRA Rule 2111 suitability obligations. The failure to honor legitimate debts raises questions about the representative's integrity and whether his financial pressures could lead to recommendations that prioritize his compensation over client best interests.

### Recommended Action

The compliance department should conduct a heightened review of Carofine's recent client recommendations and trading activity to identify any patterns of excessive trading, high-commission products, or recommendations inconsistent with client profiles. The firm should also evaluate whether Carofine's personal financial situation requires enhanced supervision under FINRA Rule 3110 and consider whether disclosure on Form U4 is required regarding the arbitration judgment and any underlying financial issues.

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## Scenario 20 of 50

### RED FLAG

**Red Flag:** The adviser recommended highly speculative and complex investments to an elderly widow with no investment experience, limited income, and an expressly conservative risk tolerance.

**Source:** 14\_NASAA\_State\_Enforcement

### Fact Pattern

Margaret Simmons, age 78, visited Ridgeline Financial Advisors in March 2014 after her husband passed away, leaving her with a \$340,000 life insurance payout and modest Social Security income of \$1,450 per month. Mrs. Simmons explicitly told her adviser, Kevin Braddock, that she needed safe investments to supplement her fixed income and cover potential medical expenses. She had no prior investment experience and indicated on her new account form that she had a conservative risk tolerance and a short time horizon of 3-5 years.

Despite this clear profile, Braddock recommended that Mrs. Simmons invest \$280,000 of her proceeds into a combination of speculative oil and gas limited partnerships and leveraged exchange-traded funds tied to emerging market indices. He told her these investments would 'generate income quickly' and were 'safer than they sounded.' Within eight months, Mrs. Simmons had lost approximately \$165,000, representing nearly half of her life savings. When she contacted Braddock expressing concern, he encouraged her to hold the positions and invest an additional \$30,000 to 'average down.'

A neighbor who was a retired accountant reviewed Mrs. Simmons' statements and immediately recognized that the investments were entirely inappropriate for someone in her situation. The neighbor helped her file a complaint with the state securities regulator in December 2014.

### Red Flag Indicators

- \* Client's documented conservative risk tolerance directly contradicted by speculative product recommendations
- \* Senior investor with fixed income and short time horizon placed in illiquid limited partnerships
- \* Leveraged ETFs recommended despite client's lack of investment sophistication
- \* Adviser encouraged additional investment after significant losses rather than reassessing suitability

### Regulatory Concern

This recommendation violates state fiduciary duty standards and the NASAA Model Rule requiring investment advisers to act in their clients' best interest. The adviser failed to exercise reasonable care in making recommendations that were manifestly inconsistent with the client's stated investment profile, risk tolerance, time horizon, and financial needs. State securities laws prohibit dishonest and unethical practices, including recommending unsuitable investments to vulnerable senior investors.

### Recommended Action

The compliance officer should immediately review all of Braddock's client accounts for similar patterns of unsuitable recommendations, particularly involving senior investors. The firm should cooperate fully with the state securities regulator's investigation, preserve all records related to Mrs. Simmons' account, and consider whether restitution is appropriate. Braddock should be placed on heightened supervision pending investigation, and the firm should evaluate whether his conduct warrants termination and reporting on Form U5.

## Scenario 21 of 50

### RED FLAG

**Red Flag:** A broker recommended an illiquid, speculative limited partnership representing 25% of a conservative retiree's liquid assets during a firm-wide sales campaign, with inadequate documentation of suitability analysis.

**Source:** 12\_FINRA\_Arbitration\_Awards

### Fact Pattern

In March 2019, Sterling Capital Advisors, a mid-sized broker-dealer, launched an aggressive sales campaign promoting limited partnership interests in a series of energy sector private placements. Representative Marcus Chen, operating out of the firm's Tampa office, recommended these investments to multiple clients across his book of business, including several retirees. One such client, Dorothy Hammond, age 72, had a conservative risk profile, investment objectives focused on capital preservation and income generation, and liquid net worth of approximately \$180,000. Despite her documented investment profile, Chen recommended she invest \$45,000--representing 25% of her liquid assets--into the Beacon Energy Partners LP, an illiquid offering with a 7-10 year holding period and significant principal risk tied to oil exploration activities.

The recommendation came during a period when Sterling Capital was under pressure to place these partnership interests, as the firm had underwriting commitments to fulfill. Chen presented the investment as generating 'stable quarterly distributions' without adequately explaining the speculative nature of the underlying business or the lack of a secondary market. When Mrs. Hammond later attempted to liquidate her position to cover unexpected medical expenses in 2020, she discovered the investment was essentially frozen and had declined in value by approximately 60%.

Review of Chen's contemporaneous notes revealed minimal documentation of how this recommendation aligned with Mrs. Hammond's stated objectives, and similar recommendations were made to at least five other clients with conservative profiles during the same three-month campaign period.

### Red Flag Indicators

- \* Investment concentration of 25% in a single illiquid product for a conservative elderly investor
- \* Product characteristics (7-10 year lock-up, speculative energy exposure) misaligned with stated capital preservation objectives
- \* Pattern of similar recommendations across multiple conservative clients during firm sales campaign
- \* Minimal documentation of reasonable-basis and customer-specific suitability analysis

### Regulatory Concern

This recommendation raises serious concerns under FINRA Rule 2111 (Suitability), specifically the customer-specific suitability obligation requiring that a broker have a reasonable basis to believe the recommendation is suitable for the particular customer based on their investment profile. The illiquid, speculative nature of the limited partnership directly contradicts Mrs. Hammond's conservative risk tolerance and capital preservation objectives. Additionally, the firm-wide sales pressure suggests potential violations of reasonable-basis suitability, as the product may have been pushed without adequate due diligence on its appropriateness for retail conservative investors. FINRA Rule 2010 (Standards of Commercial Honor) may also apply given the pattern of unsuitable recommendations.

### **Recommended Action**

The compliance officer should immediately suspend further sales of the limited partnership to conservative-profile clients pending a full suitability review. A retrospective analysis of all clients who purchased this product during the campaign period should be conducted to identify potential suitability violations. The firm should review its supervisory procedures regarding product-specific suitability training and documentation requirements. Chen's recommendations should be subject to heightened supervision, and the firm should assess whether customer remediation is warranted for affected investors whose profiles were inconsistent with the product's risk characteristics.

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## Scenario 22 of 50

### RED FLAG

**Red Flag:** An illiquid, high-risk non-traded REIT was recommended to elderly investors with limited investment experience who explicitly prioritized principal preservation.

**Source:** 12\_FINRA\_Arbitration\_Awards

### Fact Pattern

In October 2013 and June 2014, registered representative Marcus Thornton of Piedmont Financial Services recommended that Vincent and Maria Castellano, both in their mid-70s, invest \$50,000 of their retirement savings into Horizon Healthcare Trust, Inc., a non-traded Real Estate Investment Trust (REIT). The Castellanos had limited formal education, no prior experience with complex investments, and explicitly communicated to Thornton that their primary objective was principal preservation to ensure they would have funds available for healthcare expenses and living costs. They specifically asked whether their \$50,000 would be protected. Thornton allegedly represented that the REIT was safe, that their principal was protected, and that after seven years they would receive their full \$50,000 investment back. Thornton did not adequately explain that non-traded REITs are illiquid, carry significant risk to principal, and that distributions could be reduced or eliminated entirely. The relationship continued until at least September 2018, during which Thornton also facilitated an annuity exchange. The Castellanos later discovered their REIT investment had substantially declined in value and they could not access their funds when needed.

### Red Flag Indicators

- \* Elderly clients with limited investment experience and education
- \* Stated investment objective of principal preservation contradicts REIT risk profile
- \* Alleged misrepresentation that principal was 'protected' in a non-traded REIT
- \* Failure to disclose illiquidity and dividend reduction risks
- \* Concentration of significant retirement funds in a single illiquid product

### Regulatory Concern

This recommendation raises serious concerns under FINRA Rule 2111 (Suitability), which requires that a broker have a reasonable basis to believe a recommendation is suitable for a particular customer based on their investment profile, including age, financial situation, investment experience, risk tolerance, and investment objectives. Recommending an illiquid, speculative non-traded REIT to elderly clients seeking capital preservation with limited investment sophistication fails the customer-specific suitability requirement. Additionally, alleged misrepresentations about principal protection may violate FINRA Rule 2010 (Standards of Commercial Honor) and potentially Exchange Act Section 10(b) anti-fraud provisions.

### Recommended Action

Compliance should conduct a thorough review of all non-traded REIT sales to elderly or conservative investors by this representative, verify that suitability determinations were properly documented, examine whether product risks were adequately disclosed, and assess whether the representative's communications contained material misrepresentations. Enhanced supervision and additional training on complex product suitability for vulnerable investors should be implemented.

## Scenario 23 of 50

### RED FLAG

**Red Flag:** A registered representative recommended high-risk emerging market and high-yield debt investments to an 81-year-old conservative investor seeking capital preservation, directly contradicting her documented risk tolerance and investment objectives.

**Source:** 12\_FINRA\_Arbitration\_Awards

### Fact Pattern

In March 2022, registered representative Marcus Thornton of Horizon Wealth Advisors met with Dorothy Williamson, an 81-year-old widow with a modest \$285,000 portfolio consisting primarily of certificates of deposit and Treasury bonds. Mrs. Williamson clearly communicated that her investment objectives were capital preservation and income generation to supplement her Social Security benefits, and she had no tolerance for market volatility given her fixed income situation. Despite documenting these conservative objectives on her new account form, Thornton recommended she liquidate her existing holdings and invest approximately \$180,000 (63% of her portfolio) into a portfolio of high-yield corporate bonds and emerging market debt funds. Thornton explained these products would provide 'enhanced income' compared to her current holdings, but failed to adequately explain the significant credit risk, currency exposure, and price volatility inherent in these securities. Within eight months, the emerging market debt positions declined by 22% amid rising interest rates and currency fluctuations, causing Mrs. Williamson to lose over \$39,000 and significantly impairing her retirement income stream.

### Red Flag Indicators

- \* Significant concentration (63%) in high-risk debt products for elderly client with conservative objectives
- \* Investment recommendation contradicted documented risk tolerance of 'no tolerance for volatility'
- \* Customer's stated objective was capital preservation but was placed in volatile securities
- \* Inadequate disclosure of credit risk, currency exposure, and potential for principal loss

### Regulatory Concern

This recommendation raises serious concerns under FINRA Rule 2111 (Suitability), specifically the customer-specific suitability obligation requiring that a recommended investment strategy be suitable based on the customer's investment profile, including age, financial situation, risk tolerance, and investment objectives. Additionally, FINRA Rule 2010 (Standards of Commercial Honor) may be implicated if the representative prioritized commission generation over the customer's clearly stated needs.

### Recommended Action

Compliance should immediately review the suitability determination documentation for this transaction, interview the representative regarding his rationale for the recommendation, assess whether enhanced supervision is warranted for future recommendations to elderly or conservative clients, and evaluate whether customer remediation is appropriate given the clear mismatch between the recommendation and the customer's documented profile.

## Scenario 24 of 50

### RED FLAG

**Red Flag:** The adviser recommended a high-growth, long-horizon portfolio to a conservative retiree with documented capital preservation objectives and a short investment timeframe.

**Source:** 23\_International\_Comparative

### Fact Pattern

In March 2023, Harbour Point Financial Services advised Margaret Chen, a 68-year-old retired schoolteacher, regarding her superannuation rollover of \$485,000. Mrs. Chen's fact-find documented her investment objective as capital preservation, her risk tolerance as 'conservative,' and her investment timeframe as 5-7 years for income drawdown purposes. She explicitly stated she could not afford to lose more than 10% of her retirement savings and needed \$28,000 annually to supplement her pension.

Adviser Daniel Torres recommended Mrs. Chen invest 75% of her portfolio into a high-growth managed fund with significant emerging market exposure and a 15-year recommended investment horizon. The remaining 25% was allocated to a structured product linked to commodity indices. Torres documented that the growth allocation would 'maximise long-term returns' despite Mrs. Chen's stated short timeframe and conservative profile. Within eight months, the portfolio had declined by 23%, representing a loss of approximately \$111,550.

Internal compliance records show that Torres had received three prior warnings about mismatched risk recommendations in the preceding 18 months, and Harbour Point's product approval committee had flagged the structured product as suitable only for sophisticated investors with high risk tolerance.

### Red Flag Indicators

- \* Investment timeframe mismatch: 15-year product horizon versus client's 5-7 year drawdown need
- \* Risk profile contradiction: 75% high-growth allocation for a documented conservative investor
- \* Structured product sold outside target market: flagged for sophisticated/high-risk investors only
- \* Prior compliance warnings on file for similar recommendation mismatches

### Regulatory Concern

Under ASIC §961B, the adviser must demonstrate reasonable grounds that the advice is in the client's best interests, having made reasonable inquiries into the client's objectives, financial situation and needs. The recommendation directly contradicts the documented client profile regarding risk tolerance, investment horizon, and loss capacity. Similarly, under the proposed Quality of Advice Review framework and comparable standards such as MiFID II Article 25 suitability requirements, advice must be appropriate to the client's circumstances. The fundamental mismatch between the client's conservative, income-focused needs and the aggressive growth strategy suggests a failure to meet the statutory best interests duty.

### Recommended Action

Compliance should immediately review the client file for best interests duty compliance, assess whether remediation is required for Mrs. Chen's losses, escalate the adviser's pattern of unsuitable recommendations for enhanced supervision or disciplinary action, and audit all of Torres's client files from the past 24 months for similar suitability breaches. The firm should also review its product governance framework to ensure target market determinations are being properly applied at the point of advice.

## Scenario 25 of 50

### RED FLAG

**Red Flag:** The adviser recommended a complex leveraged strategy using a non-purpose loan against a concentrated stock position for a conservative, retirement-age client instead of implementing appropriate diversification.

**Source:** 12\_FINRA\_Arbitration\_Awards

### Fact Pattern

Gerald Whitman, age 67, transferred approximately \$4.2 million in employer stock from his former company, Meridian Communications Inc., into a retirement account at Sterling Wealth Partners in March 2019. Whitman's investment profile indicated he was a conservative investor with moderate risk tolerance, seeking income and capital preservation for his retirement years. His registered representative, Marcus Chen, recommended that instead of gradually diversifying the concentrated stock position, Whitman should open a non-purpose loan (NPL) for \$1.8 million collateralized by his retirement account holdings. Chen explained this would provide liquidity while allowing Whitman to maintain his stock position and defer capital gains taxes. Over the following three years, Whitman's Meridian stock declined approximately 62% in value, triggering multiple margin calls. Chen failed to provide Whitman with a clear diversification strategy or a viable plan to pay off the NPL balance. By December 2022, Whitman faced loan payoff demands while his account value had dropped to approximately \$1.6 million, leaving him with significant debt and a retirement account worth less than his outstanding loan balance.

### Red Flag Indicators

- \* Conservative 67-year-old retiree advised to maintain concentrated single-stock position
- \* Non-purpose loan collateralized by volatile employer stock in retirement account
- \* No documented diversification plan or NPL payoff strategy provided to client
- \* Recommendation prioritized tax deferral and firm lending products over client's stated capital preservation objectives

### Regulatory Concern

This recommendation raises serious concerns under FINRA Rule 2111 (Suitability) and the reasonable-basis, customer-specific, and quantitative suitability components. A leveraged strategy using an NPL against a concentrated position is inconsistent with a conservative investor's stated objectives of capital preservation and income generation. Additionally, under FINRA Rule 2010 (Standards of Commercial Honor), advising a client to take on debt collateralized by a single concentrated stock position without providing a clear exit strategy or diversification plan suggests the firm's interests in generating loan revenue may have been placed ahead of the customer's best interests.

### Recommended Action

Compliance should review all NPL recommendations made to retirement-age clients with concentrated positions to ensure documented suitability analysis exists, including stress-testing for stock declines and margin call scenarios. Representatives must provide clients with written diversification timelines and loan payoff strategies before executing NPL transactions, and supervisors should implement heightened review procedures for leveraged products recommended to conservative investors.

## Scenario 26 of 50

### RED FLAG

**Red Flag:** A delegated fiduciary with discretionary authority moved substantial plan assets into its own proprietary fund that had limited track record and no documented comparative analysis against established alternatives.

**Source:** 11\_Case\_Law

### Fact Pattern

Meridian Investment Consulting LLC has served as an investment consultant to the Hartwell Manufacturing 401(k) Plan since 2019. In March 2023, Hartwell's plan committee engaged Meridian as a delegated fiduciary with discretionary authority over approximately \$850 million in plan assets. Within six weeks of assuming this role, Meridian recommended consolidating participant assets from twelve existing target-date fund options into the Meridian Balanced Growth Fund, a proprietary collective investment trust that Meridian had launched only fourteen months earlier with limited performance history. The fund had approximately \$200 million in assets at the time and had underperformed its benchmark by 180 basis points during its brief existence. Meridian's recommendation memo to the committee emphasized the fund's 'innovative risk management approach' and projected future returns, but contained no documented comparison to established alternatives from major fund providers. The committee approved the recommendation, resulting in the transfer of \$620 million in participant retirement assets to the Meridian fund. Over the subsequent eighteen months, the fund underperformed comparable target-date offerings by an average of 2.4% annually, resulting in estimated participant losses exceeding \$28 million relative to alternative investments.

### Red Flag Indicators

- \* Proprietary fund had only 14 months of performance history at time of selection
- \* No documented comparison to established target-date fund alternatives from other providers
- \* Fund was already underperforming its benchmark before being selected for plan assets
- \* Rapid asset transfer of \$620 million occurred within weeks of assuming discretionary authority

### Regulatory Concern

This raises serious concerns under ERISA Section 404's duty of prudence, which requires fiduciaries to act with the care, skill, prudence, and diligence that a prudent expert would use. The failure to engage in a reasoned decision-making process by reviewing comparable funds before selecting a proprietary product with limited history may constitute a breach of fiduciary duty. Additionally, selecting a fund that the fiduciary created and manages raises duty of loyalty concerns under ERISA Section 404(a)(1)(A) requiring fiduciaries to act solely in the interest of participants and beneficiaries.

### Recommended Action

The plan committee should immediately engage an independent fiduciary consultant to review the fund selection process and document whether prudent alternatives were considered. If the selection process lacked adequate comparative analysis, the committee should evaluate whether to remove the proprietary fund and consider whether claims should be asserted against Meridian for any losses attributable to imprudent investment selection. Going forward, any proprietary fund recommendations should require enhanced documentation demonstrating objective comparison to non-proprietary alternatives.

## Scenario 27 of 50

### RED FLAG

**Red Flag:** A complex, illiquid structured product with significant downside risk and a 7-year maturity was recommended to an elderly conservative investor with limited experience, representing nearly all of her liquid assets.

**Source:** 11\_Case\_Law

### Fact Pattern

In March 2023, registered representative David Morrison of Beacon Ridge Securities recommended that Margaret Hensley, a 78-year-old widow, invest \$285,000 of her late husband's life insurance proceeds into a structured product linked to a basket of emerging market equities with a 7-year maturity. Mrs. Hensley had disclosed during her account opening in January 2023 that her investment objective was income and capital preservation, her risk tolerance was conservative, her annual income was \$42,000 from Social Security and a small pension, and she had limited investment experience consisting only of certificates of deposit and a money market account. The structured product carried significant downside risk if the underlying index fell below a 30% barrier, and the principal was not guaranteed. Morrison noted in his file that the product offered 'enhanced yield potential' but did not document any analysis of why a 7-year illiquid product with emerging market exposure was appropriate for a 78-year-old conservative investor who might need access to funds for healthcare expenses. Mrs. Hensley's new account form indicated her liquid net worth was approximately \$320,000, meaning this single recommendation represented nearly 90% of her investable assets.

### Red Flag Indicators

- \* Client's stated conservative risk tolerance and capital preservation objective conflicts with emerging market-linked structured product
- \* 7-year product maturity inappropriate for 78-year-old client who may need liquidity for healthcare
- \* Concentration of nearly 90% of liquid assets in a single illiquid investment
- \* No documented suitability analysis explaining why product matched client's profile

### Regulatory Concern

This recommendation raises serious concerns under FINRA Rule 2111 (Suitability) and Regulation BI's Care Obligation. The broker failed to have a reasonable basis to believe the recommendation was suitable given the customer's age, limited investment experience, conservative objectives, income needs, and liquidity requirements. The lack of documented reasonable-basis and customer-specific suitability analysis, combined with the extreme concentration and product complexity, suggests the recommendation prioritized commission generation over the customer's best interest.

### Recommended Action

The compliance officer should immediately review the transaction for potential suitability violations, interview the representative regarding his rationale, assess whether the trade should be rescinded if still possible, and evaluate whether enhanced supervision or disciplinary action is warranted. The firm should also review Morrison's other recommendations to elderly or conservative clients for similar patterns.

## Scenario 28 of 50

### RED FLAG

**Red Flag:** Excessive trading activity with an annualized turnover ratio exceeding 12 times and a cost-to-equity ratio of 28% in an account designated for capital preservation and income generation.

**Source:** 12\_FINRA\_Arbitration\_Awards

### Fact Pattern

Marcus and Diana Thornton, a married couple in their early 60s, opened a joint brokerage account at Pinnacle Securities, LLC in March 2014 with approximately \$485,000 in retirement savings. The Thorntons indicated on their new account forms that they had a moderate risk tolerance, a 10-year investment time horizon, and their primary objectives were capital preservation and income generation to supplement their upcoming retirement. Their assigned broker, Raymond Castellano, immediately began executing frequent trades in the account, primarily in speculative small-cap stocks and thinly traded securities. Over an 18-month period ending in September 2015, Castellano executed over 340 trades in the account, generating approximately \$87,000 in commissions for himself and the firm. The account turnover ratio exceeded 12 times annually, and the cost-to-equity ratio required the account to generate returns exceeding 28% just to break even after commissions. During this period, the Thorntons' account value declined from \$485,000 to approximately \$323,000, representing a loss of roughly \$162,000. When Mrs. Thornton called to inquire about the frequent trading activity, she was told the strategy was designed to 'maximize short-term opportunities in volatile markets' and was appropriate for building wealth before retirement.

### Red Flag Indicators

- \* Over 340 trades executed in 18 months in a moderate-risk retirement account
- \* Annual turnover ratio of 12x far exceeding reasonable levels for stated objectives
- \* Cost-to-equity ratio of 28% making profitability virtually impossible
- \* Trading strategy directly contradicted documented client objectives of capital preservation and income

### Regulatory Concern

This trading activity raises serious concerns under FINRA Rule 2111 (Suitability), specifically the quantitative suitability obligation that prohibits brokers from recommending a series of transactions that are excessive in light of the customer's investment profile. Additionally, FINRA Rule 2010 (Standards of Commercial Honor) is implicated as the broker's conduct in generating commissions at the expense of client interests demonstrates dishonest and fraudulent conduct. The extreme turnover ratio and cost-to-equity ratio constitute classic hallmarks of churning, which violates the broker's duty to recommend only suitable transactions.

### Recommended Action

The compliance department should immediately suspend trading authority for the broker pending investigation, conduct a comprehensive review of all accounts serviced by this broker using exception reports for turnover ratios and cost-to-equity ratios, file a U5 amendment if termination occurs, consider reporting to FINRA through the regulatory tip line, preserve all account documentation and communications, and ensure affected customers are notified and offered remediation options including potential arbitration assistance.

## Scenario 29 of 50

### RED FLAG

**Red Flag:** A dually-registered representative placed a conservative retiree in aggressive leveraged products through an unaffiliated advisory firm while circumventing broker-dealer suitability review.

**Source:** 15\_FINRA\_Regulatory\_Notices

### Fact Pattern

Margaret Chen, age 67, is a retired schoolteacher with \$485,000 in retirement savings and a conservative risk tolerance. In March 2024, she engaged David Morton, who serves as both a registered representative of Clearview Securities (a FINRA member firm) and an investment adviser representative of Granite Peak Advisors, an unaffiliated RIA. Morton recommended Margaret roll over her 403(b) into an advisory account at Granite Peak, where he placed her in a portfolio containing 35% allocation to leveraged inverse ETFs and high-yield emerging market bonds. Morton did not document the basis for these recommendations through Clearview Securities, claiming the transactions were purely advisory in nature and outside his broker-dealer relationship. When Margaret questioned the significant volatility in her account, Morton assured her the strategy was appropriate for 'growth-oriented retirees.' By November 2024, her account had declined 28% to \$349,200, representing losses of over \$135,000. Morton's supervisor at Clearview had no visibility into these transactions and never reviewed whether the recommendations were suitable for Margaret's documented conservative profile and retirement income needs.

### Red Flag Indicators

- \* 35% allocation to leveraged inverse ETFs for a 67-year-old conservative investor
- \* Rollover recommendation channeled through unaffiliated RIA to avoid broker-dealer supervision
- \* No documentation of suitability analysis at either the RIA or broker-dealer level
- \* 28% portfolio decline inconsistent with client's stated conservative risk tolerance and retirement objectives

### Regulatory Concern

This scenario raises concerns under both FINRA Rule 2111 (Suitability) and the SEC's Regulation BI Care Obligation. Even when transactions occur outside the broker-dealer, the representative's conduct may still implicate FINRA's jurisdiction over associated persons. The failure to ensure recommendations align with the customer's investment profile--particularly for a retiree with conservative objectives--violates the reasonable-basis and customer-specific suitability requirements. Additionally, the RIA has independent fiduciary duties requiring advice in the client's best interest, which aggressive leveraged products clearly contradict for this client profile.

### Recommended Action

The compliance departments of both Clearview Securities and Granite Peak Advisors should immediately review Morton's outside business activities and all client recommendations. The broker-dealer should assess whether adequate supervisory procedures exist for monitoring dually-registered representatives' advisory activities. Margaret should receive a suitability review of her current holdings, and both firms should evaluate whether restitution is appropriate. The representative's registration status should be reviewed pending investigation.

## Scenario 30 of 50

### RED FLAG

**Red Flag:** Investment recommendations were driven by the firm's need to generate revenue to cover regulatory renewal fees rather than by client suitability considerations.

**Source:** 15\_FINRA\_Regulatory\_Notices

### Fact Pattern

Sterling Wealth Advisors, a dual-registered broker-dealer and investment adviser, faced significant renewal fees for 2025 as outlined in their November 2024 Preliminary Statement. To offset these costs, the firm's management encouraged registered representatives to generate additional commission revenue before year-end. Representative Mark Dalton, responding to this pressure, contacted 47 clients in late November and early December 2024, recommending they move existing mutual fund positions into higher-commission variable annuity products. Among these clients was Eleanor Hutchins, a 71-year-old retired teacher with \$340,000 in savings, a conservative risk tolerance, and income needs requiring liquidity for medical expenses. Dalton recommended she surrender her existing low-cost index funds and purchase a variable annuity with a 7-year surrender period and 6% initial surrender charge, generating \$18,700 in commissions for the firm. Dalton's recommendation focused on tax-deferral benefits despite Mrs. Hutchins already holding her investments in an IRA, where tax deferral was redundant. The transaction was rushed through on December 5, 2024, just days before the firm's renewal payment deadline.

### Red Flag Indicators

- \* Concentrated burst of similar product recommendations coinciding with firm's fee payment deadline
- \* Recommendation of long surrender period annuity to elderly client with liquidity needs
- \* Tax-deferral benefit cited for product placed within already tax-deferred IRA account
- \* Pattern of 47 clients receiving substantially similar recommendations within a two-week window

### Regulatory Concern

This conduct raises serious concerns under FINRA Rule 2111 (Suitability) and FINRA Rule 2330 (Variable Annuity Suitability), which require that recommendations be suitable based on the customer's investment profile including age, liquidity needs, and time horizon. Additionally, for retail customers, Regulation BI's Care Obligation requires broker-dealers to exercise reasonable diligence to understand the potential risks and ensure recommendations are in the customer's best interest without placing the firm's financial interests ahead of the customer. The timing and pattern suggest firm revenue needs, not customer profiles, drove these recommendations.

### Recommended Action

The compliance officer should immediately halt any pending similar transactions and conduct a comprehensive review of all annuity recommendations made in November-December 2024. Each transaction should be evaluated against the individual customer's profile per Rule 2330 requirements. The firm should consider whether rescission is appropriate for unsuitable sales, implement supervisory controls to prevent revenue-driven recommendation patterns, and review compensation structures that may incentivize such conduct. Enhanced supervisory review should be required for any surge in product-specific recommendations around fee deadlines.

## Scenario 31 of 50

### RED FLAG

**Red Flag:** Investment adviser placed nearly half of an elderly, conservative client's retirement assets in leveraged and inverse ETFs without explaining the products' risks or documenting suitability.

**Source:** 02\_SEC\_Enforcement\_Actions

### Fact Pattern

Margaret Chen, age 71, was a retired schoolteacher who engaged Pacific Ridge Financial Advisors in March 2021 to manage her \$340,000 retirement portfolio. Mrs. Chen completed an investor profile indicating she had a conservative risk tolerance, needed income for living expenses, and had limited investment knowledge beyond basic mutual funds and CDs. Her stated investment objective was capital preservation with modest income generation.

Her adviser, Douglas Hartwell, recommended allocating approximately 45% of her portfolio (\$153,000) to leveraged and inverse exchange-traded funds, including 3x leveraged energy sector ETFs and 2x inverse S&P 500 products. When Mrs. Chen asked about these investments, Hartwell described them as 'enhanced index funds that can boost your returns' without explaining their daily reset mechanism, compounding effects, or the substantial risks of holding them beyond short time periods.

Over the following eight months, Mrs. Chen's portfolio declined by \$87,000, a loss of approximately 25%. She was unaware that leveraged ETFs were designed for sophisticated traders making short-term tactical bets rather than retirees seeking capital preservation. Hartwell never documented why these complex products were suitable for Mrs. Chen's stated objectives and risk profile.

### Red Flag Indicators

- \* Conservative, income-focused client allocated to highly volatile leveraged products
- \* Client's limited investment knowledge not considered before recommending complex ETFs
- \* No disclosure or explanation of leveraged ETF mechanics, daily reset, or holding period risks
- \* Significant concentration (45%) in products fundamentally inconsistent with stated capital preservation objective

### Regulatory Concern

This conduct raises serious concerns under Investment Advisers Act Section 206(1) and 206(2), which prohibit fraudulent and deceptive practices by investment advisers. An adviser owes a fiduciary duty of care requiring recommendations be suitable for the client's specific financial situation, investment objectives, and risk tolerance. Recommending leveraged ETFs to an elderly client with conservative objectives and limited sophistication--without adequate disclosure of risks--constitutes a breach of fiduciary duty and may operate as a fraud on the client.

### Recommended Action

The compliance officer should immediately review all client accounts containing leveraged or inverse ETF positions to verify documented suitability determinations exist. For this client, the firm should assess whether restitution is warranted. The adviser should be required to complete enhanced training on complex product suitability, and the firm should implement pre-approval requirements for allocating leveraged products to clients over age 65 or with conservative risk profiles. A retrospective review of Hartwell's other client accounts should be conducted to identify similar patterns.

## Scenario 32 of 50

### RED FLAG

**Red Flag:** The algorithmic recommendation system was optimized to maximize firm revenue and user engagement rather than generating recommendations suitable for each customer's investment profile and objectives.

**Source:** 01\_SEC\_Guidance\_NoAction\_Interpretive

### Fact Pattern

In March 2024, Apex Digital Wealth, a dually-registered broker-dealer and investment adviser, deployed a new algorithmic recommendation engine on its mobile trading platform. The system used predictive data analytics to generate personalized investment suggestions based on user behavior patterns. Margaret Chen, a 67-year-old retired schoolteacher with \$185,000 in savings and a stated conservative risk tolerance, opened a self-directed brokerage account through the platform. Despite her documented investment objective of capital preservation and income generation, the algorithm repeatedly pushed notifications recommending leveraged ETFs and high-volatility tech sector options, noting these products had 'high engagement rates among similar users.' Over four months, Mrs. Chen received 47 push notifications specifically promoting triple-leveraged semiconductor ETFs and short-term options strategies. The algorithm's design prioritized products that generated higher trading commissions and platform engagement metrics rather than alignment with customer profiles. Internal documents showed the firm's technology team had calibrated the recommendation engine to maximize 'revenue per user session' as its primary optimization target.

### Red Flag Indicators

- \* Recommendations for leveraged ETFs and options to a 67-year-old conservative investor seeking capital preservation
- \* Algorithm optimization target was 'revenue per user session' rather than customer suitability
- \* 47 push notifications promoting high-risk products inconsistent with documented risk tolerance
- \* Recommendation criteria based on 'engagement rates among similar users' rather than individual customer profile

### Regulatory Concern

This scenario implicates Regulation BI's Care Obligation under Rule 15l-1(a)(2)(ii), which requires broker-dealers to exercise reasonable diligence, care, and skill to have a reasonable basis to believe recommendations are in the retail customer's best interest. Using technology that systematically places the firm's revenue interests ahead of customer suitability violates the core best interest standard. For the investment adviser component, this also raises concerns under Investment Advisers Act Sections 206(1) and 206(2), which prohibit fraudulent conduct and practices that operate as a fraud upon clients, including the fiduciary duty to act in the client's best interest.

### Recommended Action

The compliance officer should immediately suspend the algorithmic recommendation engine and conduct a comprehensive review of its optimization parameters. The firm must recalibrate the system to incorporate customer profile data including age, risk tolerance, investment objectives, and time horizon as primary inputs. All affected customers should receive suitability reviews and potential remediation. The firm should implement testing protocols to ensure technology-driven recommendations satisfy best interest and suitability obligations before deployment, and establish ongoing monitoring of algorithm outputs against customer profiles.

## Scenario 33 of 50

### RED FLAG

**Red Flag:** Customer funds were accepted with specific investment instructions but were never deposited or invested as directed, with no explanation or disclosure to the client for nearly a year.

**Source:** 12\_FINRA\_Arbitration\_Awards

### Fact Pattern

Margaret Collins, a 68-year-old retired schoolteacher in Greenville, North Carolina, had been a client of Piedmont Financial Services for over fifteen years. In March 2015, she met with her financial adviser, Bradley Simmons, to discuss consolidating her retirement savings. Mrs. Collins gave Simmons a \$24,500 check representing the proceeds from a maturing CD at another bank, with explicit instructions to deposit it into her existing bond mutual fund portfolio, which was consistent with her conservative risk profile and income needs.

Over the following eight months, Mrs. Collins received no confirmation of the deposit or updated account statements reflecting the additional funds. When she inquired in November 2015, Simmons provided vague explanations about processing delays. After repeated requests, Mrs. Collins discovered in January 2016 that her funds had never been deposited as instructed. Instead, records suggested the check may have been mishandled or misappropriated. Despite her documented conservative investment objectives and explicit verbal and written instructions, no suitable investment was ever made with her funds.

Mrs. Collins filed a complaint seeking return of her \$24,500 plus interest, arguing that the failure to execute her clear investment instructions and the subsequent lack of disclosure about the status of her funds constituted a breach of fiduciary duty and failure to act in her best interest as a retiree dependent on investment income.

### Red Flag Indicators

- \* Extended period without trade confirmations or account statement updates reflecting deposited funds
- \* Adviser providing vague or evasive responses to direct client inquiries
- \* Complete failure to execute explicit customer investment instructions
- \* Elderly client on fixed income left without access to retirement funds designated for income-producing investments

### Regulatory Concern

This conduct potentially violates FINRA Rule 2010 (Standards of Commercial Honor) and raises serious questions under FINRA Rule 2111 (Suitability), as the adviser failed to implement any investment strategy--let alone a suitable one--despite accepting customer funds with clear instructions. The failure to act on a customer's explicit directions and the lack of transparency about fund status may also constitute a breach of fiduciary duty under applicable state law standards for financial advisers.

### Recommended Action

The compliance officer should immediately investigate the handling of the customer's funds, including reviewing deposit records, trade confirmations, and account activity. The firm should determine whether funds were misappropriated or simply never processed, report any potential conversion to regulators, make the customer whole, and review the adviser's other client accounts for similar patterns of non-execution or fund mishandling.

## Scenario 34 of 50

### RED FLAG

**Red Flag:** An elderly investor with short-term liquidity needs and conservative objectives was concentrated 84% into long-duration municipal bonds with 20-30 year maturities.

**Source:** 03\_FINRA\_AWC

### Fact Pattern

Margaret Collins, age 78, is a retired school teacher who opened an account with Greenfield Municipal Securities, LLC in March 2022. Her investor profile indicated a conservative risk tolerance, a primary investment objective of capital preservation and income, liquid net worth of \$340,000, and a stated need for funds within 2-3 years to cover potential assisted living expenses. Her only other assets were Social Security income and a small pension totaling \$2,800 per month.

Between April 2022 and November 2023, her registered representative, James Morton, recommended that Mrs. Collins invest \$285,000--approximately 84% of her liquid net worth--into long-duration municipal bonds with maturities ranging from 20 to 30 years. Morton emphasized the tax-exempt income benefits but did not adequately explain the interest rate risk or the potential difficulty in liquidating these positions without significant losses if rates rose. By September 2023, after the Federal Reserve's rate hikes, Mrs. Collins's portfolio had declined in value by approximately \$47,000, and she faced the prospect of selling at a substantial loss when she needed funds for a deposit at an assisted living facility.

Morton's supervisor conducted only cursory reviews of municipal bond transactions, primarily focusing on trade execution accuracy rather than assessing whether the recommendations were suitable given customers' individual profiles, time horizons, and liquidity needs.

### Red Flag Indicators

- \* Severe mismatch between 2-3 year liquidity need and 20-30 year bond maturities
- \* Excessive concentration of 84% of liquid assets in a single asset class
- \* Customer age of 78 with anticipated near-term assisted living expenses
- \* Conservative risk tolerance incompatible with significant interest rate exposure

### Regulatory Concern

This recommendation raises serious concerns under FINRA Rule 2111 (Suitability), which requires that a recommended investment strategy be suitable based on the customer's investment profile, including age, financial situation, time horizon, liquidity needs, and risk tolerance. The customer-specific suitability obligation was violated by recommending long-duration bonds to a client who stated she needed funds within 2-3 years. Additionally, FINRA Rule 3110 supervisory obligations were not met, as the firm failed to maintain a supervisory system reasonably designed to review municipal bond recommendations for suitability.

### Recommended Action

The compliance officer should immediately review all municipal bond recommendations made to elderly or conservative investors to assess suitability, implement enhanced supervisory procedures requiring documented suitability analysis for fixed-income recommendations that considers duration risk and customer liquidity needs, require supervisory pre-approval for concentrated positions exceeding 50% of liquid net worth, and consider customer remediation where

unsuitable recommendations resulted in losses.

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## Scenario 35 of 50

### RED FLAG

**Red Flag:** The representative recommended illiquid auction rate securities to elderly clients with documented near-term liquidity needs while mischaracterizing the products as cash equivalents.

**Source:** 12\_FINRA\_Arbitration\_Awards

### Fact Pattern

In March 2008, registered representative David Thornton at Beacon Capital Securities recommended that his clients, Harold and Patricia Weston, invest \$425,000 of their retirement savings into auction rate securities (ARS). The Westons were both 67 years old, recently retired teachers with moderate risk tolerance who specifically told Thornton they needed liquidity for upcoming medical expenses and potential nursing home costs within 2-3 years. Thornton described the ARS as 'cash equivalents' that were 'just like money market funds but with better yields,' emphasizing the weekly auction reset mechanism as proof of their liquidity. He failed to explain that the auctions could fail, rendering the securities illiquid. When the ARS market froze in February 2008, just weeks before the Westons' investment, Thornton was aware of significant auction failures at other firms but did not disclose this information. The Westons were unable to access their funds for over four years, during which time Patricia required skilled nursing care that had to be financed through high-interest loans.

### Red Flag Indicators

- \* Characterization of ARS as 'cash equivalents' despite known liquidity risks
- \* Client's stated 2-3 year liquidity needs incompatible with potentially illiquid investment
- \* Failure to disclose known market stress and recent auction failures
- \* Concentration of retirement savings in single complex product class

### Regulatory Concern

This recommendation raises serious concerns under FINRA Rule 2111 (Suitability), which requires that a recommended investment strategy be suitable based on the customer's investment profile, including liquidity needs, time horizon, and risk tolerance. The customer-specific suitability obligation was violated when the representative recommended an investment with significant liquidity risk to clients who expressly stated near-term cash requirements. Additionally, misrepresenting the nature of the securities may constitute a violation of FINRA Rule 2010 (Standards of Commercial Honor) and potentially Exchange Act Section 10(b) anti-fraud provisions.

### Recommended Action

The compliance department should immediately review all ARS recommendations made by this representative and others during the relevant period, particularly focusing on client profiles indicating liquidity needs. The firm should assess whether adequate product training and risk disclosures were provided, implement enhanced supervision for complex products, and consider whether client remediation is appropriate. The representative should receive additional training on suitability obligations and product-specific risks, with potential disciplinary action for the apparent misrepresentations.

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## Scenario 36 of 50

### RED FLAG

**Red Flag:** The adviser failed to act on an informed basis by not gathering essential information about the client's liquidity needs and health situation before recommending an illiquid long-term annuity product.

**Source:** 08\_State\_Fiduciary\_Rules

### Fact Pattern

Margaret Chen, age 71, is a Nevada resident who met with financial adviser David Kowalski of Desert Horizon Financial Services in March 2024. Mrs. Chen had \$285,000 in a bank CD earning 4.2% that was maturing, and she expressed her primary goals as preserving capital, maintaining liquidity for potential medical expenses, and generating modest income to supplement her Social Security. Her risk tolerance questionnaire indicated 'conservative' and she specifically mentioned needing access to at least \$50,000 within the next 18 months for anticipated home modifications related to her mobility issues.

Kowalski recommended Mrs. Chen invest the entire \$285,000 into a 10-year fixed indexed annuity with a 7-year surrender period, featuring a 15% cumulative withdrawal allowance over the first three years. He did not inquire about any existing annuity holdings, did not document her health status beyond noting she was 'retired,' and did not obtain or review any medical expense projections. The annuity paid Kowalski a 6.5% commission. When Mrs. Chen asked about accessing funds for her home modifications, Kowalski assured her 'the penalty-free withdrawals should cover most of what you need' without calculating whether this was accurate or discussing the surrender charges that would apply to additional withdrawals.

Review of the file revealed no comparison to alternative products, no documentation of why a 10-year product with a 7-year surrender period was appropriate for a 71-year-old client with stated near-term liquidity needs, and no evidence that Kowalski consulted with any specialists regarding Mrs. Chen's specific situation.

### Red Flag Indicators

- \* Entire liquid net worth placed into single illiquid product with 7-year surrender period
- \* No documentation of client's existing holdings or health status despite advanced age
- \* Known near-term liquidity need of \$50,000 not properly addressed by product features
- \* No documented comparison to alternative products or consultation with experts

### Regulatory Concern

This recommendation potentially violates Nevada's fiduciary duty standard under NRS 116.3103 requiring advisers to 'act on an informed basis' and exercise 'ordinary and reasonable care.' It also implicates the NAIC Model Regulation 275 suitability requirements for annuity sales, which mandate that the recommendation have a reasonable basis to believe the annuity is suitable based on the consumer's financial situation and needs, including liquidity needs. The adviser's failure to gather material facts about the client's near-term financial needs and health status, and failure to consult with appropriate professionals before making a major decision involving the client's entire liquid assets, demonstrates a breach of the duty of care.

### Recommended Action

The compliance officer should immediately place a hold on the annuity application if still within the free-look period and conduct a full file review. The adviser should be required to document all material client information including health

status, complete liquidity needs analysis, and product comparisons. A suitability committee should evaluate whether an alternative product with shorter surrender period or partial allocation to liquid investments would be more appropriate. The firm should consider rescission of the contract and retraining the adviser on proper fact-finding and documentation requirements for senior clients.

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## Scenario 37 of 50

### RED FLAG

**Red Flag:** A 75% portfolio concentration in a volatile sector-specific high-yield fund for a 78-year-old conservative investor with capital preservation objectives.

**Source:** 12\_FINRA\_Arbitration\_Awards

### Fact Pattern

Margaret Holloway, age 78, was a retired schoolteacher who opened an account with Burgess Financial Advisors in March 2022. Her account documentation indicated she had \$340,000 in liquid assets representing her entire retirement savings, a conservative risk tolerance, a primary investment objective of capital preservation with modest income, and a 3-5 year time horizon given her age and health concerns. Her new account form specifically noted she could not afford to lose principal.

Her registered representative, Daniel Ortiz, recommended that Mrs. Holloway invest \$255,000 (75% of her portfolio) into a single high-yield corporate bond fund concentrated in the energy sector. Ortiz emphasized the fund's 8.2% yield without adequately explaining the fund's elevated credit risk, sector concentration, or historical volatility of 22% over the prior three years. When Mrs. Holloway's daughter questioned the recommendation, Ortiz assured them the investment was 'perfect for generating retirement income.'

By December 2023, the fund had declined 31% due to energy sector disruptions, leaving Mrs. Holloway with losses exceeding \$79,000. She filed an arbitration claim alleging the recommendation was unsuitable for her age, risk profile, and stated objectives.

### Red Flag Indicators

- \* Extreme concentration (75%) in single investment for elderly client
- \* High-yield bond fund with 22% volatility recommended to conservative investor
- \* Investment time horizon mismatch with client's age and stated 3-5 year horizon
- \* Client documentation explicitly stated she could not afford principal loss

### Regulatory Concern

This recommendation raises serious concerns under FINRA Rule 2111 (Suitability), specifically the customer-specific suitability obligation requiring that recommendations be suitable based on the customer's investment profile including age, financial situation, risk tolerance, and investment objectives. The recommendation also potentially violates FINRA Rule 2010 (Standards of Commercial Honor) and Regulation Best Interest's Care Obligation, which requires broker-dealers to exercise reasonable diligence and skill to understand the risks and rewards of a recommendation and have a reasonable basis to believe it is in the customer's best interest.

### Recommended Action

The compliance officer should immediately review Ortiz's book of business for similar concentration patterns with elderly or conservative clients. The firm should conduct a suitability review of all recommendations made to clients over age 70 with conservative profiles, evaluate whether enhanced supervision is warranted for this representative, and consider restitution discussions with Mrs. Holloway. Training on concentration risk and age-appropriate investing should be implemented, and the firm's supervisory procedures regarding concentration limits should be evaluated.

## Scenario 38 of 50

### RED FLAG

**Red Flag:** An elderly, conservative investor with no risk tolerance and income dependence was placed into an aggressive growth portfolio completely misaligned with her stated objectives and financial situation.

**Source:** 16\_Congressional\_Materials

### Fact Pattern

Margaret Thornton, age 71, visited Coastal Heritage Bank in March 2024 seeking guidance on how to invest \$340,000 in proceeds from selling her late husband's business. She informed the bank's separately identifiable investment advisory department that she needed income to supplement her modest Social Security payments and had no other significant assets. She explicitly stated she could not afford to lose principal and had never invested beyond CDs and savings accounts. The bank's registered investment adviser, operating under the bank holding company's advisory registration, recommended she invest 75% of her assets in a concentrated portfolio of small-cap growth stocks and sector-specific ETFs focused on emerging technology. The adviser explained these investments would 'grow faster than boring bonds' and help her 'catch up on retirement.' Within eight months, the portfolio declined 31%, leaving Mrs. Thornton with approximately \$176,000 and forcing her to consider selling her home.

### Red Flag Indicators

- \* Client explicitly stated she could not afford to lose principal
- \* 75% allocation to volatile small-cap and sector-specific investments for a 71-year-old income-dependent widow
- \* No prior investment experience beyond insured deposit products
- \* Adviser dismissed client's conservative objectives by suggesting she needed to 'catch up on retirement'

### Regulatory Concern

The bank-affiliated investment adviser registered under Section 80b-3 of the Investment Advisers Act owes a fiduciary duty of care requiring recommendations be in the client's best interest. Under Section 80b-6, the adviser's conduct may constitute a fraudulent or deceptive practice by recommending investments fundamentally unsuitable for the client's age, risk tolerance, investment experience, and stated need for capital preservation and income. The SEC has rulemaking authority under Section 80b-11 to enforce these standards.

### Recommended Action

Compliance should immediately review the account documentation to assess whether the client's investment profile was accurately recorded and whether the recommendation process included any suitability analysis. The firm should consider remediation for the client's losses, conduct a broader review of similar recommendations by this adviser, and implement enhanced supervisory procedures for recommendations to elderly or conservative clients referred through the bank's retail channels.

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## Scenario 39 of 50

### RED FLAG

**Red Flag:** A fund manager providing specific investment allocation recommendations to a plan fiduciary committee, rather than limiting discussion to product information, crossed into fiduciary investment advice territory.

**Source:** 06\_DOL\_Fiduciary

### Fact Pattern

Apex Investment Partners, a fund management firm, provides investment products to ERISA-governed retirement plans. In March 2024, Sarah Mitchell, a relationship manager at Apex, met with the fiduciary committee of Greenfield Manufacturing's 401(k) plan, which had \$45 million in assets. During what was characterized as a 'hire me' presentation, Mitchell went beyond describing Apex's proprietary emerging markets fund and explicitly recommended that the committee replace their existing diversified international fund with Apex's concentrated emerging markets strategy. She stated that Greenfield's participants, whose average age was 58 and average account balance was \$180,000, would benefit from the higher return potential of emerging markets despite the plan's conservative investment policy statement. Mitchell also recommended specific allocation percentages for the fund within the plan's investment lineup, suggesting 25% of all participant assets be directed to this single strategy. The committee later discovered that Apex's emerging markets fund carried an expense ratio of 1.85% compared to 0.45% for their existing international option, and had experienced 40% higher volatility over the trailing five-year period.

### Red Flag Indicators

- \* Specific allocation percentage recommendations (25%) made to plan fiduciaries
- \* Recommendation inconsistent with plan's conservative investment policy statement
- \* High-volatility product recommended for participant population with average age of 58
- \* Significantly higher expense ratio (1.85% vs 0.45%) without clear justification for participant benefit

### Regulatory Concern

Under ERISA Section 3(21)(A)(ii) and the DOL's evolving fiduciary standards, when a fund manager moves beyond 'hire me' conversations into specific recommendations about how to invest plan assets, including allocation percentages and replacement of existing options, they may assume fiduciary status. The recommendation of a high-cost, volatile emerging markets fund for a workforce nearing retirement may violate ERISA Section 404's prudence requirements and the duty to act solely in the interest of participants and beneficiaries.

### Recommended Action

The compliance officer should review all fund manager interactions to ensure representatives understand the boundary between product information and investment advice. Training should emphasize that specific allocation recommendations and suggestions to replace existing plan investments trigger fiduciary obligations. The fiduciary committee should independently evaluate whether the emerging markets recommendation serves participant interests given the demographic profile and should document their independent analysis separate from the fund manager's recommendations.

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## Scenario 40 of 50

### RED FLAG

**Red Flag:** Recommending high-yield and unrated speculative bonds to a 78-year-old trust customer with documented low risk tolerance and capital preservation objectives.

**Source:** 12\_FINRA\_Arbitration\_Awards

### Fact Pattern

Margaret Wilkins, age 78, established a revocable living trust in 1995 to preserve capital for her retirement income needs and eventual estate distribution to her grandchildren. In March 2023, her broker at Coastal Fixed Income Securities, LLC recommended she invest \$340,000 of her \$425,000 trust portfolio into a mix of high-yield municipal bonds and unrated corporate bonds from small issuers. The broker represented these as 'safe income investments' suitable for a conservative trust account. Mrs. Wilkins's trust documents and account opening paperwork clearly indicated a low risk tolerance, income preservation objective, and a 5-7 year investment time horizon. Within 14 months, three of the bond positions defaulted, and several others experienced significant price declines due to credit deterioration, resulting in approximately \$185,000 in losses. The broker had earned substantial markups on each transaction, averaging 3.2% per bond purchase, and had not documented any reasonable basis for believing these speculative fixed income securities were appropriate for a trust with Mrs. Wilkins's stated conservative objectives.

### Red Flag Indicators

- \* Investment recommendations inconsistent with documented conservative risk tolerance and preservation objectives
- \* Concentration of 80% of trust assets in high-yield and unrated bond positions
- \* Excessive markups averaging 3.2% suggesting profit motive over customer interest
- \* No documented reasonable-basis suitability analysis for speculative bond recommendations to elderly trust client

### Regulatory Concern

This scenario raises serious concerns under FINRA Rule 2111 (Suitability), which requires that recommendations have a reasonable basis (reasonable-basis suitability), be appropriate for the specific customer's investment profile (customer-specific suitability), and that any series of transactions not be excessive (quantitative suitability). Additionally, FINRA Rule 2010 (Standards of Commercial Honor) is implicated when a broker makes misrepresentations about the risk characteristics of investments. The broker failed to consider the customer's age, trust objectives, documented risk tolerance, and time horizon when recommending speculative fixed income securities.

### Recommended Action

Compliance should immediately review all bond recommendations made by this broker to elderly and trust customers, examine markup practices for potential excessive compensation issues, require enhanced suitability documentation for any high-yield or unrated bond recommendations, and consider whether the broker requires heightened supervision or disciplinary action. The firm should also evaluate whether customer restitution is warranted.

## Scenario 41 of 50

### RED FLAG

**Red Flag:** A conservative 72-year-old retiree with capital preservation objectives was moved into a long-surrender variable annuity and leveraged products immediately after her representative received a large forgivable loan incentive.

**Source:** 12\_FINRA\_Arbitration\_Awards

### Fact Pattern

In March 2022, registered representative David Brennan joined Clearwater Securities Group after being recruited from a competitor firm. As part of his transition package, Clearwater provided Brennan with a \$675,000 forgivable loan, structured to be forgiven ratably over five years contingent on his continued employment. To service this loan obligation and maximize his production credits, Brennan began aggressively recommending high-commission products to his existing client base, many of whom were conservative retirees. One such client, Martha Pemberton, age 72, had a \$340,000 IRA portfolio invested in Treasury bonds and investment-grade municipal funds. Her documented investment objective was capital preservation with modest income generation, and her risk tolerance was marked as 'conservative.' In April 2022, Brennan recommended that Mrs. Pemberton liquidate her existing holdings and invest \$280,000 into a variable annuity with a seven-year surrender period and substantial subaccount fees, plus \$60,000 into a leveraged closed-end fund. Brennan's compensation on these transactions totaled approximately \$18,500. When Mrs. Pemberton's daughter later inquired about the dramatic portfolio change, Brennan explained these were 'growth opportunities' that would help offset inflation concerns.

### Red Flag Indicators

- \* Investment recommendations inconsistent with documented conservative risk tolerance and capital preservation objectives
- \* Sale of variable annuity with seven-year surrender period to a 72-year-old client
- \* Recommendation of leveraged products to a retiree seeking income and preservation
- \* High-commission transactions occurring shortly after representative received substantial forgivable loan

### Regulatory Concern

This scenario raises serious concerns under FINRA Rule 2111 (Suitability), which requires that recommendations have a reasonable basis and be consistent with the customer's investment profile including age, financial situation, risk tolerance, and investment objectives. The variable annuity recommendation may also violate FINRA Rule 2330, which requires heightened suitability analysis for deferred variable annuities, particularly regarding the customer's liquidity needs and the suitability of a long surrender period for a 72-year-old. Additionally, Regulation Best Interest's Care Obligation requires that the broker exercise reasonable diligence and prudence to understand the risks and rewards of the recommendation and have a reasonable basis to believe it is in the customer's best interest without placing the financial interest of the broker ahead of the customer.

### Recommended Action

The compliance department should immediately conduct a supervisory review of all transactions executed by the representative since receiving the forgivable loan, with particular focus on retiree accounts and sales of high-commission products. The firm should contact Mrs. Pemberton to assess her understanding of the transactions and consider offering rescission. The representative's compensation structure should be evaluated for conflicts, and enhanced supervision should be implemented. The firm should also review whether adequate disclosures regarding the

loan arrangement were made and whether the branch manager conducted appropriate suitability reviews prior to execution.

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## Scenario 42 of 50

### RED FLAG

**Red Flag:** The adviser recommended a high-fee IRA rollover without documenting a comparative analysis showing the rollover was in the client's best interest relative to her low-cost existing retirement plan.

**Source:** 16\_Congressional\_Materials

### Fact Pattern

Margaret Donovan, age 62, worked as a public school teacher for 34 years and accumulated \$485,000 in her employer-sponsored 403(b) retirement plan. In March 2023, she met with Bradley Simmons, a registered representative at Heartland Financial Advisors, after attending a retirement planning seminar the firm hosted at a local community center. Simmons recommended that Donovan roll her entire 403(b) balance into an Individual Retirement Account managed by his firm, where she would be placed in a wrap-fee advisory program charging 1.85% annually. Her existing 403(b) plan offered low-cost index funds with an all-in expense ratio of 0.18% and provided access to a stable value fund earning 3.2% guaranteed. Donovan expressed that her primary goals were capital preservation and generating modest income to supplement her teacher pension, and she indicated a conservative risk tolerance on her new account application. Despite these stated objectives, Simmons allocated 65% of her rolled-over assets to actively managed equity funds and alternative investment products. Simmons emphasized potential growth opportunities but did not document any comparison of the fees, services, or investment options between her existing 403(b) and the proposed IRA rollover.

### Red Flag Indicators

- \* No documented cost-benefit comparison between existing 403(b) and proposed IRA
- \* Significant increase in annual fees from 0.18% to 1.85% without justification
- \* Aggressive 65% equity allocation inconsistent with client's stated conservative risk tolerance
- \* Client's capital preservation objective contradicted by recommended portfolio composition

### Regulatory Concern

This recommendation raises serious concerns under ERISA's fiduciary standards and the best interest obligations applicable to rollover recommendations. Under the Department of Labor's fiduciary rule framework, advisers providing rollover advice to retirement plan participants must act in the client's best interest and consider factors including fees, available investment options, and services. The failure to document why leaving the low-cost 403(b) plan was inferior to the high-fee IRA, combined with an asset allocation mismatched to the client's stated objectives, suggests a violation of the duty of care owed to retirement investors.

### Recommended Action

The compliance officer should immediately review all rollover recommendations made by this representative, require documented comparative analyses for all future rollover advice, ensure suitability questionnaires accurately reflect client risk profiles, and consider whether supervisory procedures for rollover recommendations need enhancement. The specific transaction should be evaluated for potential rescission or fee remediation if the rollover was not in the client's best interest.

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## Scenario 43 of 50

### RED FLAG

**Red Flag:** A conservative, income-focused retiree was concentrated into speculative IPO investments representing 43% of her liquid net worth despite having no experience with such securities.

**Source:** 03\_FINRA\_AWC

### Fact Pattern

Margaret Chen, a 68-year-old retired school administrator, opened an account with Ridgemont Securities LLC in March 2023. Her account documents indicated a conservative risk tolerance, an investment objective of capital preservation with income, a liquid net worth of \$425,000, and no prior experience with initial public offerings or speculative investments. Her primary goal was generating steady income to supplement her pension and Social Security benefits. Between April 2023 and November 2023, her registered representative, David Morton, recommended that Mrs. Chen participate in seven different IPO allocations, investing a total of \$185,000--representing approximately 43% of her liquid net worth--in newly issued securities from early-stage technology and biotechnology companies. Morton explained that these IPOs were 'ground floor opportunities' and that the firm had special access as a syndicate member. Four of the seven IPO investments declined by more than 40% within six months of issuance, resulting in unrealized losses exceeding \$62,000. Mrs. Chen's account statements showed that her portfolio volatility increased dramatically, and the dividend income she had relied upon was now significantly reduced due to the concentration in non-dividend-paying growth stocks.

### Red Flag Indicators

- \* Significant concentration (43%) in speculative IPO securities inconsistent with conservative risk tolerance
- \* Customer had no prior experience with IPOs or speculative investments
- \* Investment objective was capital preservation and income, not growth or speculation
- \* Recommendations resulted in dramatic reduction of income-generating capacity for a retiree dependent on investment income

### Regulatory Concern

This recommendation pattern raises serious concerns under FINRA Rule 2111 (Suitability) and Regulation BI's Care Obligation. The representative failed to have a reasonable basis to believe the IPO recommendations were suitable given Mrs. Chen's conservative risk tolerance, income objectives, lack of experience with speculative investments, and her dependence on investment income during retirement. The quantitative concentration in high-risk securities was inconsistent with her stated investment profile, violating both customer-specific suitability requirements and the duty to act in the customer's best interest under Reg BI Rule 15l-1.

### Recommended Action

Compliance should immediately review all IPO allocations made to customers with conservative risk profiles and income-focused objectives. The firm should evaluate whether the representative conducted appropriate due diligence on customer profiles before making IPO recommendations, assess whether enhanced supervision of IPO recommendations to retail customers is warranted, and consider whether restitution to Mrs. Chen is appropriate given the unsuitable concentration of her retirement assets in speculative securities.

## Scenario 44 of 50

### RED FLAG

**Red Flag:** The adviser recommended a complex options strategy requiring the client to take on home equity debt and move retirement assets to a taxable account despite her conservative profile, limited experience, and capital preservation objectives.

**Source:** 07\_Practitioner\_Commentary

### Fact Pattern

In April 2025, Iron Gate Global Advisors LLC representative Spencer Nelson met with Margaret Hensley, a 72-year-old retired school teacher with a total liquid net worth of \$485,000, primarily held in her IRA rollover account. Mrs. Hensley expressed concern about generating income to supplement her Social Security and small pension, totaling \$2,800 per month. Despite her conservative risk tolerance and limited investment experience, Nelson recommended she liquidate \$320,000 from her IRA and transfer it to a taxable brokerage account to meet the firm's \$1,000,000 minimum for certain options strategies, suggesting she could borrow against her paid-off home to reach the threshold. Nelson explained that covered call writing and cash-secured puts would generate the monthly income she needed, projecting returns of 12-15% annually. He did not adequately explain the margin requirements, assignment risks, or tax consequences of generating short-term capital gains in a taxable account versus her existing tax-advantaged IRA. Mrs. Hensley's account application indicated she had never traded options and had a 3-5 year investment time horizon with a primary goal of capital preservation.

### Red Flag Indicators

- \* Client lacks any prior options trading experience yet recommended for complex strategy
- \* Recommendation to leverage personal residence to meet arbitrary account minimums
- \* Moving tax-advantaged retirement assets to taxable account for a retiree generating income
- \* Projected 12-15% returns inconsistent with client's stated conservative risk tolerance and capital preservation goal

### Regulatory Concern

This recommendation raises serious concerns under the Investment Advisers Act fiduciary duty of care and SEC Rule 206(4)-7. The adviser must provide advice that is in the client's best interest based on her investment profile, objectives, and financial situation. Recommending she incur debt against her home and restructure retirement assets to qualify for a complex options strategy she has no experience with--when her stated goals are income and capital preservation--fails to meet the reasonable-basis, customer-specific, and quantitative suitability components. FINRA Rule 2360 regarding options suitability would also apply if the firm were broker-dealer registered, requiring reasonable grounds that the customer can evaluate and bear the risks.

### Recommended Action

The Chief Compliance Officer should immediately review this recommendation, halt any account restructuring, and conduct a suitability review comparing the client's documented profile against the options strategy requirements. The firm should consider whether Nelson requires additional training on suitability obligations for complex products and elderly clients, document the review findings, and if the recommendation proceeded, evaluate whether corrective disclosure or remediation is warranted.

## Scenario 45 of 50

### RED FLAG

**Red Flag:** The adviser applied a standardized growth model portfolio to a conservative retiree without analyzing whether the impersonal investment advice was appropriate for her specific financial situation and needs.

**Source:** 09\_Law\_Firm\_Memos

### Fact Pattern

In March 2023, Meridian Wealth Advisors LLC, an SEC-registered investment adviser, assigned portfolio manager Daniel Reyes to manage the account of Margaret Chen, a 71-year-old retired schoolteacher with \$485,000 in retirement savings. Mrs. Chen's Investment Policy Statement clearly documented her conservative risk tolerance, need for income preservation, and 5-year investment horizon to fund assisted living expenses. Rather than providing personalized advice, Reyes placed Mrs. Chen into a model portfolio designed for the firm's general client base--a growth-oriented allocation with 75% equities concentrated in technology and emerging market funds. When Mrs. Chen questioned the aggressive nature of her portfolio during a quarterly review in September 2023, Reyes explained that the model portfolio was 'suitable for most clients' and that individualized analysis was not part of her service tier. By December 2023, Mrs. Chen's portfolio had declined 23% to \$373,450 due to market volatility in growth sectors, significantly impairing her ability to fund her planned care transition.

### Red Flag Indicators

- \* Model portfolio risk profile (75% equities, growth-oriented) directly contradicted client's documented conservative risk tolerance
- \* Adviser failed to consider client's specific 5-year time horizon and income preservation needs
- \* Client's age (71) and purpose of funds (assisted living) ignored in favor of standardized approach
- \* Adviser dismissed client concerns by citing service tier limitations rather than fiduciary obligations

### Regulatory Concern

Under the Investment Advisers Act Section 206 and the SEC's Standard of Conduct Interpretation, investment advisers owe a federal fiduciary duty to all clients regardless of whether advice is personalized or impersonal. The SEC guidance suggests that the fiduciary standard may apply even to impersonal advice. Meridian's adviser breached the duty of care by failing to have a reasonable belief that the recommendation was in Mrs. Chen's best interest based on her specific investment profile, objectives, and financial circumstances.

### Recommended Action

Compliance should immediately review all accounts where model portfolios were assigned without individualized suitability analysis. The firm must document how fiduciary obligations are satisfied when using standardized investment models and ensure advisers cannot disclaim personalized suitability review based on service tiers. Mrs. Chen's account should be reassessed for appropriate allocation, and the firm should evaluate whether remediation or restitution is warranted for the portfolio losses attributable to the unsuitable recommendation.

## Scenario 46 of 50

### RED FLAG

**Red Flag:** A complex, illiquid structured note with significant principal risk was recommended to an elderly, risk-averse client who explicitly required capital preservation and liquidity.

**Source:** 10\_Academic\_Articles

### Fact Pattern

Margaret Donovan, age 72, is a retired schoolteacher who met with financial adviser Kevin Marsh of Pinnacle Wealth Partners in March 2023. Mrs. Donovan had recently inherited \$340,000 from her late sister and sought advice on preserving the funds to supplement her pension and Social Security income of \$3,200 per month. She explicitly stated she needed the money to remain accessible for potential healthcare costs and could not afford to lose any principal. Her investment profile indicated she was risk-averse with no prior experience in securities beyond bank CDs.

Mr. Marsh recommended Mrs. Donovan invest \$275,000 in a structured note with a 7-year maturity linked to the performance of a basket of emerging market equities. The product carried significant downside risk if the underlying index fell below certain barrier levels, potentially resulting in substantial principal loss. The structured note was illiquid with no secondary market and carried early redemption penalties of 8%. Pinnacle Wealth Partners received a 4.5% upfront commission on the sale, compared to the 0.5% commission available on Treasury-based alternatives.

Within six months, the emerging market index declined 28%, placing Mrs. Donovan's principal at significant risk. She attempted to access funds for an unexpected medical procedure but was told she would face substantial penalties and potential losses if she redeemed early.

### Red Flag Indicators

- \* Client age of 72 with fixed income and no investment experience beyond CDs
- \* Explicit client statement requiring principal preservation and liquidity for healthcare
- \* 7-year illiquid product with 8% early redemption penalties sold to client needing accessibility
- \* Adviser's firm received 4.5% commission versus 0.5% on suitable Treasury alternatives

### Regulatory Concern

This recommendation raises serious concerns under Regulation Best Interest's Care Obligation, which requires broker-dealers to exercise reasonable diligence, care, and skill to understand the risks and potential consequences of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest. The structured note's complexity, illiquidity, and principal risk directly contradicted Mrs. Donovan's stated investment objectives, risk tolerance, time horizon, and liquidity needs. FINRA Rule 2111 suitability requirements were also potentially violated as the recommendation lacked reasonable-basis, customer-specific, and quantitative suitability.

### Recommended Action

Compliance should immediately review Mr. Marsh's customer files and sales of structured products to elderly or conservative clients. The firm should consider unwinding the transaction or providing restitution to Mrs. Donovan. An investigation should examine whether the significant commission differential influenced the recommendation, and enhanced supervision should be implemented for complex product sales to retirees with conservative profiles.

## Scenario 47 of 50

### RED FLAG

**Red Flag:** A conservative elderly retiree with capital preservation objectives was placed heavily into leveraged ETFs and speculative high-yield products wholly inconsistent with her risk profile and investment horizon.

**Source:** 12\_FINRA\_Arbitration\_Awards

### Fact Pattern

Margaret Holloway, a 72-year-old retired schoolteacher, opened an account with Ridgemont Financial Services in April 2023 with \$485,000 in retirement savings, representing substantially all of her liquid assets. Her new client questionnaire indicated a conservative risk tolerance, a need for income preservation, and a 5-year investment horizon to cover healthcare and living expenses. Her stated investment objective was capital preservation with modest income generation.

Her registered representative, Kevin Driscoll, recommended she invest approximately \$290,000 (60% of her portfolio) into a combination of leveraged exchange-traded products and high-yield emerging market bond funds. Driscoll explained these products would 'enhance her returns without much additional risk.' The leveraged ETFs included 2x and 3x daily reset products tracking volatile commodity and technology sectors. Within seven months, Mrs. Holloway's account had declined by \$127,000, representing a 26% overall loss.

Mrs. Holloway complained to Ridgemont's branch manager in November 2023, stating she never understood the products were leveraged or that they could lose value so rapidly. Account records show no documentation of any discussion about the mechanics of daily-reset leverage, volatility decay, or the unsuitability of holding such products long-term.

### Red Flag Indicators

- \* 60% concentration in leveraged and high-yield speculative products for a conservative investor
- \* 72-year-old client with 5-year time horizon invested in daily-reset leveraged ETFs
- \* No documented discussion of product risks, leverage mechanics, or volatility decay
- \* Stated objective of capital preservation contradicted by actual portfolio construction

### Regulatory Concern

This recommendation raises serious concerns under FINRA Rule 2111 (Suitability), which requires that a broker have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, including risk tolerance, time horizon, and investment objectives. The reasonable-basis and customer-specific suitability obligations appear violated. Additionally, Regulation Best Interest's Care Obligation under Exchange Act Rule 15l-1 requires recommendations to be in the retail customer's best interest and not place the broker's interest ahead of the customer's. Recommending complex leveraged products to a conservative retiree seeking capital preservation fails both standards.

### Recommended Action

Compliance should immediately review all accounts where Driscoll recommended leveraged or complex products to assess pattern suitability violations. The firm should conduct a supervisory review of Driscoll's recommendations, consider enhanced supervision or restriction from complex product sales, document remediation efforts with Mrs. Holloway including potential restitution, and reinforce training on suitability requirements for complex and leveraged

products with all registered representatives.

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## Scenario 48 of 50

### RED FLAG

**Red Flag:** A 72-year-old conservative retiree with limited assets and short time horizon was concentrated into highly speculative leveraged and volatile investments inconsistent with her documented profile.

**Source:** 12\_FINRA\_Arbitration\_Awards

### Fact Pattern

Margaret Chen, age 72, became a client of Bayshore Financial Advisors in March 2022 after retiring from her teaching career. Her account documents indicated she had a conservative risk tolerance, an investment objective of capital preservation and income, liquid net worth of \$380,000 (representing her entire retirement savings), and a 5-year investment time horizon. During her initial consultation, she emphasized to her registered representative, Derek Lawson, that she could not afford to lose principal and needed steady income to supplement her Social Security benefits. In June 2022, Lawson recommended that Mrs. Chen invest \$285,000 (75% of her liquid assets) into a portfolio consisting primarily of leveraged ETFs focused on technology and cryptocurrency sectors, along with speculative small-cap growth stocks. Lawson told Mrs. Chen these investments would 'supercharge her retirement income' and that the market timing was perfect. By December 2022, Mrs. Chen's account had declined to \$142,000, representing a loss of over 50% of her invested capital. When she complained to the firm in January 2023, her concerns were initially dismissed, and disclosure reporting pages were filed against Lawson that he later sought to expunge.

### Red Flag Indicators

- \* 75% concentration of total liquid net worth in a single aggressive strategy
- \* Leveraged ETFs and speculative growth stocks recommended to client with conservative risk tolerance
- \* 5-year time horizon incompatible with volatile, long-term recovery investments
- \* Recommendation directly contradicted client's stated need for capital preservation

### Regulatory Concern

This recommendation likely violates FINRA Rule 2111 (Suitability), which requires that a broker have a reasonable basis to believe a recommended investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, and investment objectives. The customer-specific suitability obligation was clearly not met when highly speculative products were recommended to a conservative retiree who expressly stated she could not afford principal loss.

### Recommended Action

The compliance officer should immediately review the account documentation and trading records, interview the registered representative regarding his rationale for the recommendations, assess whether supervisory review processes failed to catch the unsuitable concentration, consider customer remediation including potential compensation for losses, and determine whether disciplinary action against the representative is warranted. The firm should also evaluate its suitability review procedures for elderly and conservative clients.

## Scenario 49 of 50

### RED FLAG

**Red Flag:** A leveraged global macro strategy with illiquidity restrictions was recommended to a conservative, elderly retiree who needed capital preservation and income, concentrating over 80% of her assets in a single high-risk investment.

**Source:** 02\_SEC\_Enforcement\_Actions

### Fact Pattern

In March 2018, KVK Global Strategies LLC, a registered investment adviser based in Chicago, recommended that client Margaret Tillman, a 68-year-old retired schoolteacher, invest \$340,000 of her retirement savings into a global macro hedge fund strategy employing significant leverage and derivatives exposure. Mrs. Tillman's investment profile indicated she had a conservative risk tolerance, a primary objective of capital preservation with modest income generation, a 5-7 year investment horizon, and limited investment experience beyond mutual funds and CDs. Her total liquid net worth was approximately \$420,000, meaning this recommendation would represent over 80% of her investable assets.

The adviser, Jason Kendrick, presented the strategy as offering 'enhanced returns with sophisticated risk management' but did not adequately explain the potential for substantial losses during market volatility or the illiquidity restrictions that could prevent Mrs. Tillman from accessing her funds for up to two years. Internal notes from the firm showed that Kendrick was aware of Mrs. Tillman's recent concern about outliving her savings and her need for predictable income to supplement her pension.

Despite the client's documented conservative profile and income needs, no alternative strategies were presented, and the suitability review conducted by the firm's compliance department was cursory, consisting only of a single checkbox indicating the recommendation was 'reviewed' without substantive analysis of the strategy's appropriateness for this particular client.

### Red Flag Indicators

- \* Extreme concentration of retirement assets (80%+) in a single illiquid strategy
- \* Mismatch between conservative client profile and high-risk leveraged investment
- \* Client's documented income needs ignored in favor of growth-oriented strategy
- \* Inadequate compliance review lacking substantive suitability analysis

### Regulatory Concern

This recommendation raises significant concerns under Investment Advisers Act Section 206, which imposes a fiduciary duty requiring advisers to act in clients' best interests. The adviser failed to meet the duty of care by recommending a complex, leveraged, illiquid strategy to a client whose documented profile clearly indicated conservative objectives, income needs, and limited investment sophistication. The concentration of assets and liquidity mismatch further demonstrate a failure to consider the client's overall financial situation.

### Recommended Action

The compliance officer should immediately halt any pending transactions, conduct a comprehensive review of the client's file to document the suitability failure, engage with Mrs. Tillman to assess whether she understood the risks, and consider whether unwinding the position is appropriate. The firm should enhance its suitability review procedures to

require documented analysis of complex product recommendations, implement concentration limits, and provide additional training to representatives on fiduciary obligations when advising retirement clients.

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## Scenario 50 of 50

### RED FLAG

**Red Flag:** The representative recommended an unsuitably concentrated position in a high-risk asset class to a conservative, inexperienced retiree who needed capital preservation.

**Source:** 12\_FINRA\_Arbitration\_Awards

### Fact Pattern

Margaret Thornton, age 67, opened an account with Palmetto Wealth Advisors in January 2023 after receiving a \$450,000 inheritance following her husband's death. She completed a new account form indicating her investment objective was income generation and capital preservation, her risk tolerance was conservative, her time horizon was 5-7 years, and her annual income was \$38,000 from Social Security. She had no prior investment experience beyond a savings account. Her registered representative, David Kessler, recommended she invest \$380,000 (approximately 84% of her liquid net worth) into a single high-yield corporate bond fund focused on below-investment-grade debt, explaining it would provide the income she needed. Over the following 18 months, the fund declined 22% in value during a period of rising interest rates and credit spread widening. Mrs. Thornton filed a complaint stating she was never informed about the credit risk, interest rate sensitivity, or volatility associated with high-yield bonds, and believed she was investing in something similar to a certificate of deposit.

### Red Flag Indicators

- \* 84% concentration of liquid assets in a single high-yield bond fund
- \* High-yield (junk bond) recommendation to customer with conservative risk tolerance
- \* Customer had no prior investment experience and limited investment knowledge
- \* Investment objective of capital preservation inconsistent with below-investment-grade debt exposure

### Regulatory Concern

This recommendation raises significant concerns under FINRA Rule 2111 (Suitability), specifically the customer-specific suitability obligation requiring that a recommendation be suitable for the particular customer based on their investment profile, including risk tolerance, investment experience, and investment objectives. The concentration in high-yield bonds for a conservative retiree with no investment experience and capital preservation goals appears to violate the reasonable-basis and customer-specific suitability components. Additionally, if Mrs. Thornton rolled over any retirement assets, Regulation Best Interest's care obligation would require the recommendation to be in her best interest and not place the broker's interest ahead of hers.

### Recommended Action

The compliance department should immediately review all of Kessler's client accounts to identify similar unsuitable concentration patterns. The firm should assess whether adequate suitability documentation was obtained and whether the risks were properly disclosed. Supervisory procedures should be enhanced to flag large concentrated positions in high-risk products for customers with conservative profiles. Consider offering remediation to Mrs. Thornton and providing additional training to the representative on matching investment recommendations to customer risk profiles.